

**A STUDY ON FINANCIAL FRAUD DETECTION PRACTICE WITH
REFERENCE TO KOLON INDUSTRIES INDIA PRIVATE LIMITED,
THIRUVALLUR**

A PROJECT REPORT

Submitted in partial fulfillment of the requirements for the award of the Degree

MASTER OF BUSINESS ADMINISTRATION

UNIVERSITY OF MADRAS

Submitted by

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UNDER THE GUIDANCE OF

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S.A COLLEGE OF ARTS & SCIENCE

APRIL 2026

BONAFIDE CERTIFICATE

This is to certify that the project report titled “**A STUDY ON FINANCIAL FRAUD DETECTION PRACTICE WITH REFERENCE TO KOLON INDUSTRIES INDIA PRIVATE LIMITED, THIRUVALLUR**” is a bonafide record of work carried out by Ms. S. MEENAKSHI Register No 712400705 during the final semester from 05/01/2026 to 31/03/2026, under my guidance, in partial fulfilment of the requirement for the award of the Degree of MASTER OF BUSINESS ADMINISTRATION by UNIVERSITY OF MADRAS.

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Project Completion letter

Date: 31-03-2026

To:

The Director
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Respected Madam,

Subject: MBA Project Completion letter

This is to certify that Ms. S. Meenakshi (Register No: 712400705), a student of MBA from S.A. College of Arts & Science, has successfully completed her MBA project work on "A Study on Financial Fraud Detection Practice with Reference to Kolon Industries India Private Limited, Thiruvallur". This project was carried out during the period from 05th January 2026 to 31st March 2026 at our organization.

We wish her all the best for her future endeavors.

Regards,

For Kolon Industries India Pvt Ltd,

HR-MANAGER



DECLARATION

I, S. MEENAKSHI, hereby declare that this project report titled **“A STUDY ON FINANCIAL FRAUD DETECTION PRACTICE WITH REFERENCE TO KOLON INDUSTRIES INDIA PRIVATE LIMITED, THIRUVALLUR”** submitted in partial fulfilment of the requirement for the Degree of MASTER OF BUSINESS ADMINISTRATION, UNIVERSITY OF MADRAS is original work and it has not formed the basis for the award of any degree

Place: Chennai-600 077

Student Signature

Date:

ACKNOWLEDGEMENT

I would like to thank the God Almighty for the grace which led to the successful completion of the project.

I express my sincere thanks to our **Correspondent, Mr. P. Venkatesh Raja**, for providing the right learning environment which has enabled me to complete the project.

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ABBREVIATIONS:

- AI- Artificial Intelligence
- ANN- Artificial Neural Network
- ANOVA- Analysis of Variance
- CNN- Convolutional Neural Network
- HR- Human Resource
- IT- Information Technology
- KNN- K-Nearest Neighbor
- OEM- Original Equipment Manufacturer
- RNN- Recurrent Neural Network
- SVM- Support Vector Machine
- SPSS- Statistical Package for the Social Sciences
- Ltd- Limited
- Pvt- Private
- R&D- Research and Development
- GNN- Graph Neural Network
- SMOTE- Synthetic Minority Over-sampling Technique

EXECUTIVE SUMMARY:

This study focuses on financial fraud detection practices in Kolon Industries India Private Limited, Tiruvallur. Financial fraud is a major challenge faced by organizations due to increasing business complexity, digital transactions, and weak internal control systems. Fraudulent activities such as procurement fraud, inventory fraud, payroll fraud, expense reimbursement fraud, financial statement manipulation, asset misappropriation, and corruption can lead to financial loss, reputational damage, and reduced stakeholder trust.

The primary objective of the study is to analyze the effectiveness of financial fraud detection practices followed in the organization. The study also evaluates the internal control systems and fraud prevention measures implemented in different functional areas such as procurement, inventory management, payroll processing, expense reimbursement, financial reporting, and asset management.

The research adopted a descriptive research design and used both primary and secondary data. Primary data was collected through a structured questionnaire distributed to 136 employees across various departments using stratified sampling techniques. Secondary data was collected from books, journals, websites, reports, and previous research studies related to financial fraud detection.

Statistical tools such as Percentage Analysis, Chi-Square Test, Correlation Analysis, One-Way ANOVA, Single Linear Regression, and Paired Sample T-Test were used for data analysis. The findings of the study reveal that the organization has implemented effective fraud detection and control mechanisms in most operational areas. Employees generally agreed that proper verification systems, internal audits, ethical practices, inventory monitoring, payroll controls, and financial reporting procedures are followed within the organization.

The study concludes that strong internal controls, regular audits, employee awareness, and technology-based monitoring systems play a vital role in detecting and preventing financial fraud. There is still scope for improvement in areas such as employee training, advanced analytical tools, and continuous monitoring systems. The study suggests that strengthening fraud detection practices and promoting ethical organizational culture can further improve financial transparency and operational efficiency within the organization.

CHAPTER-1

INTRODUCTION

1.0 INTRODUCTION

Financial fraud refers to any intentional act of deception carried out to gain unfair or illegal financial benefit. It occurs when individuals or groups manipulate financial information, misuse company assets, or conceal a business's true financial condition of a business for personal gain. Fraud is not always committed by outsiders; in many cases, it is done by employees, managers, suppliers, or even top executives of an organization. Financial fraud can occur in small, medium, and large companies, and its impact can be very serious. It may cause financial loss, damage the company's reputation, reduce investor trust, and sometimes lead to legal punishment and company closure.

In today's digital business world, financial transactions happen quickly and in large volumes. Because of this, fraud has become more complex and harder to identify. Fraudsters use modern technology, fake documents, and manipulation techniques to hide their activities. Sometimes fraud may continue for years before it is discovered. This makes financial fraud detection a very important part of business management. Detecting fraud early helps organizations protect their money, assets, and reputation. It also helps ensure that financial statements are accurate and trustworthy for stakeholders such as investors, banks, employees, and government authorities.

Financial fraud usually happens because of three main reasons known as the Fraud Triangle:

Pressure may come from personal financial problems or unrealistic performance targets. Opportunities arise when internal controls within the company are weak. Rationalization occurs when the fraudster convinces themselves that their actions are justified. Understanding these factors helps organizations design better systems to prevent fraud. Therefore, financial fraud detection is not only about catching criminals but also about building a strong and ethical organizational culture.

TYPES OF FINANCIAL FRAUD IN THE MANUFACTURING INDUSTRY:

The manufacturing industry is highly vulnerable to financial fraud because it involves large purchases, inventory management, supplier payments, payroll management, and complex financial transactions. The involvement of multiple departments, such as procurement, production, finance, and logistics, creates many opportunities for fraud if proper controls are not in place.

PROCUREMENT FRAUD:

One of the most common types of fraud in manufacturing is procurement fraud. This occurs when employees collude with suppliers to create fake vendors, approve inflated invoices, or receive kickbacks for selecting certain suppliers. For example, an employee may approve payment for goods that were never delivered or were delivered in a smaller quantity. This type of fraud increases the cost of production and reduces company profits.

INVENTORY FRAUD:

Another major fraud is inventory fraud. Manufacturing companies maintain large amounts of raw materials and finished goods. Employees may steal inventory, manipulate stock records, or hide damaged goods. Inventory represents a large portion of company assets; even small fraud can result in huge losses over time. Poor inventory tracking systems and lack of regular audits make this fraud easier to commit.

PAYROLL FRAUD:

Payroll fraud is also common in manufacturing industries with many workers. This includes creating ghost employees, manipulating overtime records, or adding fake allowances. Such fraud increases labor costs and affects company productivity.

EXPENSE REIMBURSEMENT FRAUD:

Expense reimbursement fraud happens when employees submit fake travel bills, fake purchase receipts, or personal expenses as business expenses. Though each claim may be small, over time, it leads to significant financial loss.

FINANCIAL STATEMENT FRAUD:

Financial statement fraud is the most serious type of fraud. It occurs when management manipulates company financial reports to show higher profits or hide losses. This may be done to attract investors, obtain loans, or maintain the company's reputation. When such fraud is discovered, it can lead to major legal consequences and loss of stakeholder trust.

These different types of fraud show that manufacturing companies face risks at every stage of the business process. Therefore, strong monitoring and fraud detection systems are essential.

FINANCIAL FRAUD OCCURS:

Financial fraud usually happens due to weak internal control systems and a lack of monitoring. When duties are not properly divided among employees, a single person may gain full control over a process, creating an opportunity for fraud. For example, if the same employee is responsible for approving purchases, making payments, and recording transactions, they can easily manipulate records without detection.

Lack of supervision and irregular audits also increase fraud risk. If employees know that their work is not being reviewed regularly, they may misuse company resources. Fraud also occurs when companies depend heavily on manual processes and paperwork. Manual systems are easier to manipulate compared to automated systems.

Another major reason for fraud is poor organizational culture. When companies focus only on profit and ignore ethics, employees may feel pressure to meet unrealistic targets. This pressure can lead them to commit fraud to show better performance. Additionally, a lack of fraud awareness training makes employees unaware of fraud risks and reporting procedures.

Technology has also created new opportunities for fraud. Cyber fraud, fake digital invoices, and online payment manipulation are increasing rapidly. Fraudsters may hack systems or use fake emails to divert payments to unauthorized accounts.

Fraud usually starts small and gradually increases. If early warning signs are ignored, it becomes difficult to control later. Therefore, understanding how fraud occurs helps organizations create preventive strategies and detect suspicious activities early.

IMPORTANCE OF FINANCIAL FRAUD DETECTION:

Financial fraud detection plays a crucial role in protecting the financial health and long-term success of an organization. Early detection helps companies prevent major financial losses and ensures that resources are used effectively. It also protects company assets such as cash, inventory, and equipment from misuse.

One of the most important benefits of fraud detection is maintaining trust and reputation. Investors, banks, customers, and suppliers rely on accurate financial information. If fraud is discovered, it can damage the company's image and reduce stakeholder confidence. In serious cases, companies may lose business opportunities and face legal penalties.

Fraud detection also helps organizations comply with laws and regulations. Governments require companies to maintain transparent financial records and follow ethical business practices. Strong fraud detection systems ensure compliance and reduce the risk of penalties and legal action.

Another important benefit is improving internal control systems. When fraud detection processes are implemented, companies regularly review their policies, monitor transactions, and conduct audits. This improves overall efficiency and reduces operational risks.

Fraud detection also promotes ethical behavior among employees. When employees know that monitoring systems exist and fraud is taken seriously, they are less likely to engage in unethical activities. This creates a positive and transparent work environment.

In the modern business world, fraud detection is not just a finance function but a strategic business requirement. It helps organizations achieve sustainable growth, protect stakeholder interests, and maintain long-term stability.

Financial fraud is a serious challenge faced by modern organizations, especially in the manufacturing industry where transactions and operations are complex. Understanding what financial fraud is, how it occurs, and the different types of fraud helps organizations develop strong prevention and detection strategies. Implementing effective fraud detection practices protects company assets, improves trust, ensures legal compliance, and supports long-term business growth. Therefore, studying financial fraud detection practices and their impact is essential for improving organizational performance and ensuring financial transparency

1.1 SCOPE OF THE STUDY

1. The study focuses on evaluating the effectiveness of financial fraud detection practices and internal control systems in preventing and controlling fraud within the organization.
2. The study examines procurement processes and controls to identify and prevent fraudulent activities such as fake vendors and inflated invoices.
3. The study focuses on inventory management systems and controls to detect and prevent stock discrepancies, theft, and misuse.
4. The study analyzes payroll systems and procedures to identify fraudulent practices like ghost employees and unauthorized salary payments.
5. The study evaluates the procedures for expense claims to detect and prevent fake or exaggerated reimbursement requests.
6. The study reviews financial reporting systems to identify manipulation or misrepresentation of financial information.
7. The study focuses on asset management and control systems to prevent and detect unauthorized use or theft of company assets.
8. The study examines anti-corruption policies and practices to assess their effectiveness in detecting and preventing bribery and unethical activities.

1.2 INDUSTRY PROFILE

The car seat manufacturing industry is a segment of the global automotive component sector that focuses on designing, producing, and supplying seating systems for passenger vehicles, commercial vehicles, and electric vehicles. This industry plays a critical role in automotive safety, comfort, ergonomics, and overall driving experience. Car seats are no longer simple mechanical components; they have evolved into highly engineered systems that integrate advanced materials, electronics, safety mechanisms, and smart features. Leading global automotive suppliers such as Lear Corporation, Adient plc, and Faurecia SE dominate the international automotive seating market by providing complete seating solutions to major automobile manufacturers.

The industry involves the production of seat frames, seat covers, foam cushioning, headrests, seat belt integration, airbags, electronic seat adjustment systems, heating and ventilation features, and smart sensor technologies. Modern car seats must meet strict safety regulations and global automotive standards, as they are directly linked to passenger protection during accidents. With the rise of electric vehicles, autonomous vehicles, and connected cars, the car seat manufacturing industry is rapidly transforming toward lightweight materials, eco-friendly fabrics, ergonomic design, and smart seating technology. Increasing consumer demand for comfort, luxury interiors, and safety features is further accelerating innovation in seating systems.

In India, the automotive component sector is one of the fastest-growing manufacturing industries, supported by strong automobile production, rising vehicle ownership, and government initiatives such as “Make in India.” Car seat manufacturing companies supply seating systems to both domestic automobile manufacturers and global OEMs. The industry contributes significantly to employment, export growth, and industrial development. Technological advancements, automation, digital manufacturing, and strict quality control systems are shaping the future of the industry, making it highly competitive and innovation-driven.

1.3 COMPANY PROFILE



ESTABLISHED (INDIA): March 2017

HEADQUARTERS (INDIA): Tiruvallur, Tamil Nadu.

PARENT COMPANY: Kolon Industries, Inc. (South Korea), a global leader in chemical and industrial materials.

VISION: KOLON stands by customers, whether seen or unseen.

VALUE: One&Only is our management policy shared and practiced by all KOLON people.

Kolon Industries was established in 1957 in Seoul, South Korea, as the country's first nylon fiber producer, laying the foundation for the development of Korea's synthetic textile and industrial fiber sector. The company initially focused on meeting domestic demand for synthetic materials during Korea's industrialization period. Through consistent investments in technology, production capability, and quality standards, Kolon Industries quickly strengthened its position in the textile and chemical manufacturing sectors. This early foundation created a strong industrial base that enabled the company to expand into more advanced materials and global markets.

Kolon Industries diversified its operations beyond textiles and entered the industrial materials, chemicals, films, and fashion sectors. The company strategically aligned its business with the growing global demand for high-performance materials used in automotive, electronics, infrastructure, and consumer industries.

NATURE OF BUSINESS AND OPERATIONS:

Kolon Industries India Pvt. Ltd. operates primarily in the automotive components manufacturing industry. The company specializes in producing automotive interior materials and components used in various types of vehicles.

The main activities of the company include:

- Manufacturing automotive seats and interior components
- Supplying automotive materials and industrial products
- Producing components used in vehicle safety and comfort systems
- Trading and distribution of automobile parts and materials.

These products are designed to meet the high safety and quality standards required by the automotive industry. The company also follows strict quality control measures to ensure that all products meet global specifications.

By combining advanced technology from its parent company with skilled local workforce, Kolon Industries India has established itself as a reliable supplier in the automotive component manufacturing sector.

ORGANIZATIONAL STRUCTURE AND MANAGEMENT:

Kolon Industries India Pvt. Ltd. functions as a Foreign Private Limited Company under Indian corporate regulations. The company is managed by a board of directors who are responsible for strategic planning, policy formulation, and overall business management. Some of the key directors associated with the company include:

- Yungjai Koo – Director
- Soon Eon Park – Director

The management team works closely with the parent organization to ensure that the company follows global business practices and maintains high standards in production, quality management, and workforce development.

The organization also consists of various functional departments such as:

- Production Department
- Human Resource Department
- Quality Control Department
- Finance and Accounts Department
- Logistics and Supply Chain Department.

Each department plays an important role in ensuring smooth operations and achieving organizational objectives.

CAPITAL STRUCTURE AND FINANCIAL POSITION:

Kolon Industries India Pvt. Ltd. has a strong financial base that supports its manufacturing operations and expansion plans.

- Authorized Share Capital: Approximately ₹8 Crore
- Paid-up Share Capital: Approximately ₹7.49 Crore.

The company has shown consistent growth since its establishment. Its revenue has increased steadily as the demand for automotive components continues to grow in the Indian market.

The financial stability of the company is further strengthened by the support and investment of its parent company, Kolon Industries Inc., which provides technological expertise, financial backing, and global market access.

PARENT COMPANY SUPPORT AND GLOBAL NETWORK:

Kolon Industries India benefits significantly from the global experience and technological expertise of its parent organization, Kolon Industries Inc. The parent company operates in multiple industries including industrial materials, chemicals, fashion, and biotechnology. Through its global network, Kolon Industries provides advanced materials such as tire cords, airbag fabrics, industrial fibers, and chemical products that are widely used in various industries around the world.

The Indian subsidiary receives support in the form of:

- Advanced production technology

- Research and development capabilities
- Global quality standards
- Technical expertise and training

This global support allows Kolon Industries India to maintain high levels of productivity, innovation, and operational efficiency.

ROLE IN THE INDIAN AUTOMOTIVE INDUSTRY:

Kolon Industries India plays a significant role in supporting the Indian automotive manufacturing sector. The company supplies high-quality components that contribute to vehicle safety, performance, and comfort.

Its presence in the Indian market provides several benefits, including:

- Strengthening the automotive supply chain
- Introducing advanced manufacturing technology
- Creating employment opportunities
- Supporting the growth of the automobile industry

By maintaining strong partnerships with automobile manufacturers and suppliers, Kolon Industries India continues to expand its operations and contribute to the development of the industrial sector in India.

1.4 STATEMENT OF PROBLEM

Financial fraud has become a major challenge for organizations due to the increasing complexity of business operations, digital transactions, and large volumes of financial activities. In manufacturing industries, fraud can occur in various areas such as procurement, inventory management, payroll processing, expense reimbursement, financial reporting, asset management, and corruption-related activities. These fraudulent practices may lead to financial losses, operational inefficiency, reputational damage, and reduced stakeholder confidence.

Although organizations implement internal control systems, audit procedures, and monitoring mechanisms to prevent fraud, the effectiveness of these practices is not always fully assured. In many cases, weak controls, lack of employee awareness, inadequate monitoring, and limited use of advanced fraud detection techniques create opportunities for fraudulent activities. Traditional fraud detection methods may also fail to identify sophisticated and hidden fraud patterns in a timely manner.

In Kolon Industries India Private Limited, Tiruvallur, financial operations involve multiple departments and complex business processes, increasing the risk of financial irregularities. Therefore, it is necessary to evaluate whether the existing fraud detection practices and internal control systems are effective in identifying and preventing fraud.

The study focuses on identifying the gaps and weaknesses in the current fraud detection mechanisms followed in the organization. It also examines employee awareness, ethical practices, internal audits, and monitoring systems related to fraud prevention. Hence, the problem addressed in this study is the need to assess and improve the effectiveness of financial fraud detection practices in order to strengthen financial transparency, operational efficiency, and organizational control systems within the company.

1.5 OBJECTIVES OF THE STUDY

PRIMARY OBJECTIVE:

To study is to analyze the effectiveness of financial fraud detection practices in preventing and controlling various types of fraud in Kolon Industries India Private Limited, Tiruvallur.

SECONDARY OBJECTIVE:

1. To examine the detection and prevention of procurement fraud in the organization.
2. To analyze the effectiveness of controls in identifying inventory fraud.
3. To evaluate the measures used to detect payroll fraud.
4. To assess the monitoring of expense reimbursement fraud.
5. To study the detection of financial statement fraud.
6. To analyze asset misappropriation and its control mechanisms.
7. To evaluate the impact of bribery and corruption on fraud detection practices.

1.6 LIMITATIONS OF THE STUDY

- The study is limited to the data and responses collected from employees, which may be subject to bias or incomplete disclosure.
- Limited access to detailed procurement records may restrict in-depth analysis of fraudulent activities.
- The study relies on reported inventory data, which may not fully reflect actual stock discrepancies.
- Confidentiality of payroll information may limit the availability of complete data for analysis.
- Employees may hesitate to disclose fraudulent practices, affecting the accuracy of responses.
- The study depends on available financial reports, which may not reveal hidden manipulations.
- Lack of direct observation may limit the ability to detect actual misuse of assets.
- The Sensitive nature of bribery and corruption issues may lead to underreporting or biased responses.

CHAPTER-II

REVIEW OF LITERATURE

2.0 REVIEW OF LITERATURE

Financial fraud detection has become an important area of research due to the increasing use of digital financial systems and rising fraudulent activities in organizations. Researchers explain that traditional methods such as manual auditing are time-consuming and less effective in identifying modern frauds.

Studies highlight that technologies like data mining, artificial intelligence, and machine learning help organizations detect fraudulent transactions quickly and accurately. Real-time monitoring systems also improve security and reduce financial losses.

2.1 BOOK REVIEW

1. Financial fraud detection using machine learning – xiyuan ma & desheng wu (2025):

This book provides a modern approach to understanding financial fraud and its detection using advanced technologies like machine learning. The authors explain how financial fraud occurs in organizations and how data-driven techniques can be used to identify suspicious activities. It covers both theoretical concepts and practical applications, including statistical models and artificial intelligence methods. The book highlights that traditional fraud detection methods are no longer sufficient due to the increasing complexity of business transactions. It also discusses challenges such as false detection, data quality issues, and the need for skilled professionals. This book is useful for understanding how technology can improve fraud detection practices in manufacturing industries like Kolon Industries.

2. Fraud Auditing and Forensic Accounting – Tommie W. Singleton & Aaron J. Singleton (2010):

This book focuses on the role of auditors and forensic accountants in detecting and preventing financial fraud. It explains various types of fraud, including internal and external fraud, and provides techniques to identify them. The authors emphasize the importance of developing an investigative mindset among accountants. The book also covers fraud investigation procedures, evidence collection, and reporting methods. It highlights that effective fraud detection requires strong internal controls and proper auditing systems. This book is highly relevant to the study as it explains practical fraud detection techniques that can be applied in manufacturing companies.

3. Financial Statement Fraud: Prevention and Detection – Zabihollah Rezaee (2002):

This book explains financial statement fraud and its impact on organizations. It discusses major corporate fraud cases and how manipulation of financial statements can mislead stakeholders. The author highlights the importance of corporate governance, ethical practices, and regulatory frameworks in preventing fraud. The book also explains the responsibilities of management, auditors, and regulatory bodies in fraud detection. It shows that lack of transparency and weak control systems are major causes of fraud. This book is useful for understanding how financial fraud affects company performance and why strong detection systems are necessary.

4. Fraud Auditing and Forensic Accounting: New Tools and Techniques – Jack Bologna & Robert J. Lindquist (1995):

This book provides detailed information about fraud detection tools and techniques used in accounting systems. It explains how fraud can be committed by employees, managers, suppliers, and customers. The authors discuss methods for identifying fraud in different areas such as purchasing, payroll, and inventory. The book also covers computer-related fraud and investigation techniques. It emphasizes the role of auditors in detecting fraud and presenting evidence. This book is helpful for understanding different types of fraud risks in manufacturing industries and how they can be controlled.

5. Financial Statement Fraud Detection: An Analysis of Statistical and Machine Learning Algorithms – Johan Perols (2010):

This study focuses on the use of statistical and machine learning models in detecting financial fraud. It compares different techniques such as logistic regression, support vector machines, and neural networks. The research shows that data analytics plays a key role in identifying fraud patterns in financial statements. It also highlights important indicators of fraud, such as unusual financial ratios and changes in accounting practices. The study concludes that advanced analytical tools can improve fraud detection accuracy. This review is important for understanding how modern analytical techniques can be applied in organizations to strengthen fraud detection systems.

2.2 JOURNAL REVIEW

1. Financial Fraud Detection Based on Machine Learning – Systematic Review (2022):

This study explains how machine learning techniques are used in detecting financial fraud across industries. It highlights that traditional methods are slow and less accurate, while modern algorithms like Support Vector Machine (SVM) and Artificial Neural Networks (ANN) improve detection accuracy. The study also identifies major challenges, such as data imbalance and the complexity of fraud patterns. It concludes that technology-based detection systems are more effective than manual methods.

2. Evolution of Financial Fraud Detection Methods (2025):

This journal focuses on how fraud detection methods have evolved over time from manual systems to advanced AI-based models. It explains that increasing digital transactions and complex fraud techniques have made traditional systems ineffective. The study highlights the role of machine learning and explainable AI in improving fraud detection accuracy and transparency.

3. Financial Fraud Detection Using Machine Learning and Deep Learning (2024):

This paper discusses the application of machine learning and deep learning models, such as CNN and RNN, in fraud detection. It explains how these models can handle large datasets and identify hidden fraud patterns. The study also mentions challenges like a lack of quality data and model transparency. It concludes that advanced technologies significantly improve fraud detection performance.

4. Intelligent Financial Fraud Detection – Comprehensive Review (2016):

This study explains the importance of computational intelligence in fraud detection. It highlights that manual detection methods are costly, time-consuming, and inaccurate. The paper reviews various data mining and analytical techniques used for fraud detection. It concludes that automated systems are essential for handling large volumes of financial data efficiently.

5. Fraud Detection Using Unsupervised Learning (2023):

This research focuses on unsupervised machine learning techniques such as K-Means clustering for detecting fraud. It explains how these methods identify unusual patterns without prior labeled

data. The study highlights benefit such as cost efficiency and adaptability, but also mentions challenges like complexity and accuracy issues.

6. Financial Fraud Detection Using Data Mining Techniques (2021):

This paper provides a detailed review of data mining techniques used in fraud detection between 2009 and 2019. It categorizes fraud into banking, insurance, financial statements, and cryptocurrency fraud. The study shows that SVM, Naïve Bayes, and Random Forest are widely used methods. It concludes that data mining plays a crucial role in modern fraud detection systems.

7. Financial Fraud Detection and Prediction in Companies (2022):

This study proposes a machine learning model to detect and predict fraud in listed companies. It uses financial indicators and data analysis techniques to identify fraud patterns. The research highlights that selecting relevant variables improves fraud detection accuracy. It concludes that predictive models can help organizations identify fraud early.

8. Deep Learning-Based Financial Fraud Detection (2025):

This journal reviews deep learning models such as LSTM and transformer models used in fraud detection. It explains that deep learning improves accuracy by identifying complex patterns in financial data. However, the study also points out challenges like data privacy and model interpretability. It suggests further research to improve transparency and reliability.

9. Graph-Based Financial Fraud Detection Techniques (2024):

This study focuses on graph neural networks (GNNs) for detecting fraud. It explains how fraud networks involve multiple connections between entities, making graph-based methods highly effective. The paper concludes that GNN models outperform traditional methods in identifying complex fraud relationships.

10. Financial Fraud Detection Using Data Analytics and AI (Recent Study):

This study explains how real-time data analytics and artificial intelligence help in detecting fraud quickly. It highlights that AI systems can monitor transactions continuously and identify unusual behavior instantly. The study concludes that integrating AI with financial systems improves fraud prevention and reduces financial losses

2.3 MAGAZINE REVIEW

1. Forbes Magazine – “The Rising Threat of Financial Fraud in Modern Businesses.”

This article discusses how financial fraud is increasing rapidly in modern organizations due to digital transformation and complex business operations. It highlights that fraud is no longer limited to cash theft but includes cyber fraud, fake transactions, and data manipulation. The magazine emphasizes the importance of using advanced technologies like artificial intelligence and data analytics to detect fraud early. It also points out that companies with strong internal controls and employee awareness programs are better at preventing fraud. This review is useful for understanding the importance of modern fraud detection systems in organizations.

2. Harvard Business Review – “Why Companies Fail to Detect Fraud.”

This article explains the common reasons why organizations fail to identify fraud at an early stage. It highlights issues such as weak internal controls, lack of accountability, and poor corporate culture. The magazine emphasizes that fraud often occurs due to management pressure and lack of ethical practices. It also suggests that companies should create a transparent work environment and encourage whistleblowing. The article concludes that fraud detection is not only a technical issue but also a management and cultural issue. This review is relevant for understanding organizational weaknesses related to fraud.

3. The Economist – “Corporate Fraud and Its Impact on Business Stability.”

This article focuses on the impact of financial fraud on companies and the economy. It explains how fraud leads to financial losses, reduced investor confidence, and damage to company reputation. The magazine also discusses major fraud cases and their consequences on global markets. It highlights that companies must adopt strong auditing systems and regulatory compliance to prevent fraud. This review is helpful for understanding the serious impact of fraud on business performance and long-term growth.

4. Business Today – “Role of Internal Audits in Fraud Detection.”

This article highlights the importance of internal audits in identifying and preventing fraud within organizations. It explains that regular audits help in monitoring financial activities and detecting irregularities. The magazine also discusses how companies can strengthen their audit systems by

using digital tools and continuous monitoring techniques. It concludes that effective audit practices play a key role in reducing fraud risk. This review is useful for understanding practical fraud detection methods in organizations.

5. Economic Times – “Digital Fraud and the Need for Strong Detection Systems.”

This article explains how digitalization has increased the risk of financial fraud in businesses. It discusses various types of digital fraud, such as online payment fraud, phishing, and data breaches. The magazine emphasizes the need for companies to invest in cybersecurity and fraud detection systems. It also highlights the importance of employee training and awareness in preventing fraud. This review is important for understanding the role of technology in modern fraud detection practices.

2.4 THESIS REVIEW

1. Financial Fraud Detection using Machine Learning Techniques (2020)

This thesis explains how machine learning techniques can be used to detect financial fraud in large transaction datasets. The study uses supervised learning models such as Random Forest and Logistic Regression to classify fraudulent and non-fraudulent transactions. It highlights that machine learning can identify fraud patterns more accurately than manual auditing methods. The research also discusses the problem of data imbalance, where fraud cases are very few compared to normal transactions. The study concludes that advanced analytical models improve fraud detection efficiency and can be applied in real-time systems.

2. Fraud Detection Using Machine Learning (2023)

This thesis focuses on improving fraud detection through real-time monitoring and machine learning algorithms. It explains that traditional rule-based systems are not effective in detecting modern fraud techniques. The study includes steps such as data preparation, feature engineering, and model building to improve detection accuracy. It also highlights the importance of real-time fraud detection systems in reducing financial losses. The research concludes that machine learning provides faster and more reliable fraud detection compared to traditional methods.

3. Smart Credit Card Fraud Detection using Machine Learning (2024)

This thesis examines fraud detection in credit card transactions using machine learning techniques. It highlights that technological advancements have increased both fraud cases and detection challenges. The study focuses on practical solutions used by law enforcement agencies and financial institutions. It also discusses issues such as data overload and slow investigation processes. The research concludes that efficient fraud detection systems must provide quick responses to suspicious transactions to minimize risk and financial damage. □

4. Real-Time Fraud Detection using Big Data (2025)

This thesis explores the use of big data and machine learning models for detecting fraud in real-time. It compares different algorithms such as Random Forest, Gradient Boosting, and Neural Networks. The study shows that Random Forest performs better in identifying fraudulent transactions with high accuracy. It also highlights the importance of data preprocessing techniques like SMOTE to handle imbalanced datasets. The research concludes that integrating big data analytics with fraud detection systems significantly improves performance.

5. Detecting and Preventing Financial Misconduct and Fraud (2024)

This thesis provides a comprehensive review of both traditional and modern fraud detection methods. It examines internal controls, external audits, and artificial intelligence-based systems. The study highlights that fraud detection requires a combination of organizational controls and advanced technologies. It also discusses the role of stakeholders in preventing fraud. The research concludes that effective fraud detection systems must include strong governance, proper monitoring, and continuous improvement.

2.5 WEBSITE REVIEWS:

1. Hernandez et al. (2024) – Financial Fraud Detection using Machine Learning

This study presents a comprehensive literature review of financial fraud detection using machine learning techniques. The authors analyzed 104 research articles published between 2012 and 2023 using the PRISMA methodology. The study found that machine learning models are highly effective in detecting fraud patterns, especially in credit card transactions. It highlights that real-world datasets improve model accuracy and reliability. The research emphasizes the growing importance of predictive analytics in identifying fraud in financial systems.

2. Ali et al. (2022) – Systematic Literature Review on Financial Fraud Detection

This study reviews 93 research papers focusing on machine learning-based fraud detection. It states that traditional fraud detection methods are inefficient due to their time-consuming and costly nature. The study identifies Support Vector Machines (SVM) and Artificial Neural Networks (ANN) as the most commonly used techniques. It also discusses challenges such as data imbalance and the need for advanced analytical models.

3. Sidabutar et al. (2025) – AI, Big Data, and Blockchain in Fraud Detection

This research highlights the role of emerging technologies such as Artificial Intelligence, Big Data Analytics, and Blockchain in detecting financial fraud. The study concludes that these technologies significantly improve fraud prevention by enabling real-time monitoring and predictive analysis. It also emphasizes the importance of integrating advanced technologies into financial systems to reduce fraud risks.

4. Yang et al. (2026) – Artificial Intelligence for Financial Fraud Detection

This recent study explains how artificial intelligence has transformed fraud detection practices. It highlights that traditional rule-based systems are no longer sufficient due to the complexity of modern fraud. AI-based systems can analyze large datasets, identify hidden patterns, and improve detection accuracy. The study also notes that fraud is increasing globally, making advanced detection systems essential for organizations.

5. Barman et al. (2016) – Data Mining Techniques in Fraud Detection

This study provides a detailed review of data mining techniques used in fraud detection. It explains that fraud detection involves identifying unusual patterns in financial data using statistical and computational methods. The research highlights that techniques like decision trees, clustering, and classification play a major role in detecting fraudulent activities. It also emphasizes the need for continuous improvement in analytical tools.

CHAPTER-III

RESEARCH METHODOLOGY

3.0 RESEARCH METHODOLOGY

Research methodology refers to the systematic approach used to collect, analyze, and interpret data in order to achieve the objectives of the study. It helps the researcher conduct the study in an organized and scientific manner. This chapter explains the methods and techniques used to gather information related to financial fraud detection practices in Kolon Industries India Private Limited, Tiruvallur.

The purpose of this chapter is to describe the research design, research area, sampling technique, sample size, data collection tools, types of questions used in the questionnaire, hypotheses formulated for the study, and the statistical tools used for data analysis.

This methodology aims to understand the effectiveness of financial fraud detection practices, internal control systems, employee awareness, and fraud prevention measures followed within the organization. The methodology also helps in identifying the relationship between fraud detection mechanisms and organizational efficiency.

3.1 RESEARCH DESIGN

The research design adopted for this study is a descriptive research design.

Descriptive research is used to describe the characteristics, opinions, and behavior of respondents systematically. In this study, the researcher aims to analyze the financial fraud detection practices followed in Kolon Industries India Private Limited, Tiruvallur.

The study is quantitative in nature, as it involves collecting numerical data through a structured questionnaire using a Likert scale (Strongly Agree to Strongly Disagree). This helps in measuring employees' perceptions regarding fraud control systems in various functional areas, such as:

- Procurement process
- Inventory management
- Payroll system
- Expense management
- Financial reporting
- Asset management

- Anti-corruption policies

The research is also cross-sectional, as data is collected at a single point of time from employees working in different departments of the organization.

The design focuses on:

- Identifying existing fraud detection mechanisms
- Evaluating the effectiveness of internal controls
- Understanding employee awareness and ethical practices
- Analyzing gaps in fraud prevention systems

Data collected will be analyzed using statistical tools (such as percentage analysis, mean score, and charts) to draw meaningful conclusions.

3.2 RESEARCH AREA

The research area of the study is Kolon Industries India Private Limited, Tiruvallur. The organization operates in the manufacturing sector, primarily involved in the production of industrial and automotive components.

The study focuses on examining the financial fraud detection practices within the organization. It covers multiple functional departments, including

- Finance,
- Human Resource,
- Logistics,
- Production, and
- Marketing

where financial transactions and operational activities are carried out.

The research area specifically includes key domains where the risk of fraud is relatively high, such as:

- Procurement processes (vendor selection, purchase approvals)
- Inventory management (stock verification, record maintenance)

- Payroll system (salary processing, employee verification)
- Expense and reimbursement system
- Financial reporting and accounting practices
- Asset management and control systems
- Internal audit and compliance mechanisms

The study is limited to employees working within the organization who are involved directly or indirectly in these processes. Their responses help in understanding the effectiveness of internal controls, transparency, and fraud prevention measures implemented by the company.

The geographical scope of the study is restricted to the Tiruvallur location of the organization.

3.3 SAMPLING TECHNIQUE

The study adopts the stratified sampling technique to collect data from the respondents. In this method, the entire population is divided into different groups or strata based on specific characteristics. For this research, the population was categorized according to various departments within the organization, such as finance, human resources, inventory, and other functional areas.

Samples were collected from each department to ensure that all segments of the organization were properly represented. This approach helps in capturing diverse opinions and responses from employees working in different departments, thereby improving the quality and reliability of the data collected.

Stratified sampling is particularly suitable for this study because the population is not homogeneous, and each department plays a significant role in fraud detection and control mechanisms. By including respondents from multiple departments, the study ensures a comprehensive understanding of internal controls and their effectiveness in preventing and identifying fraud.

The use of the stratified sampling technique enhances the accuracy of the findings and provides a balanced representation of the organization as a whole.

3.4 SAMPLE SIZE

Sample size refers to the total number of respondents selected to participate in the research study. Selecting an appropriate sample size is important because it helps the researcher collect reliable and meaningful data for analysis.

For this study, the sample size was determined using the Sample Size Formula, which is commonly used in survey-based research studies.

SAMPLE SIZE FORMULA:

$$n = \frac{z^2 * p * q * N}{(N - 1)e^2 + z^2 * p * q}$$

Where:

- n = Sample size
- Z = Z value (1.96 for 95% confidence level)
- p = Probability of success (0.5)
- $q = 1 - p$ (0.5)
- N = Total population size
- e = Margin of error (0.05)

ASSUMPTIONS:

- Population size = $N = 250$
- Confidence Level = 95% → $Z = 1.96$
- Proportion = $p = 0.5$, $q = 0.5$
- Margin of Error = $e = 0.057$ (5.7%)

CALCULATION:

$$n = \frac{(1.96)^2 \times 0.5 \times 0.5 \times 250}{(250 - 1) \times (0.057)^2 + (1.96)^2 \times 0.5 \times 0.5}$$

$$n = \frac{3.8416 \times 0.25 \times 250}{249 \times 0.003249 + 0.9604}$$

$$n = \frac{240.1}{0.808 + 0.9604}$$

$$n = \frac{240.1}{1.7684}$$

$$n = 136$$

The calculated sample size is 136 respondents based on the application of the sample size formula. This sample size is considered sufficient to represent the total population effectively.

The respondents for this study were employees working in Kolon Industries India Private Limited across various departments. These include roles such as:

- Finance Department
- HR Department
- Production Department
- Logistics Department
- Marketing Department

These participants were selected because of their involvement in financial and operational activities, which are relevant to identifying and understanding fraud detection practices within the organization.

The final sample size of 136 respondents meets the statistically required level and ensures reliable and valid analysis of the study. It adequately represents the population and helps in drawing meaningful conclusions regarding financial fraud detection practices.

3.5 DATA COLLECTION TOOLS

PRIMARY DATA:

The primary data for this study have been collected using a structured questionnaire. The questionnaire was designed based on the objectives of the study to analyze financial fraud detection practices in the organization.

The questionnaire was created using Google Forms and circulated among employees of Kolon Industries India Private Limited, Tiruvallur.

It consists of 40 questions, including demographic details (such as age, gender, education, department, and work experience) and opinion-based statements.

SECONDARY DATA:

Secondary data has also been used to support the study. It includes information collected from:

- Company reports and internal documents (if accessible)
- Academic journals and research articles
- Textbooks related to financial management and auditing
- Websites and online resources related to fraud detection practices

Secondary data helps in building the theoretical background and understanding existing concepts related to fraud detection.

The combination of primary and secondary data provides a comprehensive understanding of financial fraud detection practices and improves the reliability of the study.

3.6 TYPES OF QUESTIONS

The questionnaire used in this study consists of different types of questions designed to collect relevant and structured information from the respondents. The questions are categorized as follows:

1. DEMOGRAPHIC QUESTIONS

These questions are used to collect basic information about the respondents.

They help in analyzing responses based on different characteristics.

Examples include:

- Age
- Gender
- Educational Qualification
- Department
- Work Experience

These questions are mostly multiple-choice type.

2. LIKERT SCALE QUESTIONS

The study mainly uses 5-point Likert scale questions to measure employee opinions and perceptions regarding fraud detection practices.

The scale includes:

1-Strongly Disagree

2-Disagree

3-Neutral

4-Agree

5-Strongly Agree

3.OPEN-ENDED QUESTION:

The questionnaire includes one open-ended question:

“Any suggestions to improve fraud detection practices?”

This allows respondents to provide additional insights, suggestions, or opinions beyond the structured options. The combination of different types of questions helps in collecting both quantitative and qualitative data, ensuring a comprehensive analysis of the study.

3.7 HYPOTHESIS

A hypothesis is a tentative assumption or statement that can be tested through statistical analysis. In this study, hypotheses are formulated to examine the relationship between internal control systems and financial fraud detection practices in the organization.

NULL HYPOTHESIS (H₀)

There is no significant relationship between internal control systems and financial fraud detection practices in Kolon Industries India Private Limited.

ALTERNATIVE HYPOTHESIS (H₁)

There is a significant relationship between internal control systems and financial fraud detection practices in Kolon Industries India Private Limited.

3.8 TOOLS FOR ANALYSIS

The data collected through Google Forms was analyzed using statistical tools such as Percentage Analysis, Chi-Square, Correlation Analysis, One-way Anova, Single linear regression analysis, and Paired sample t-test to interpret the data and draw meaningful conclusions. The following tools are used:

1. PERCENTAGE ANALYSIS:

Percentage analysis is a statistical method used to express collected data in percentage form, making it simple to understand and easy to compare different responses. It helps in presenting the distribution of data clearly by converting frequencies into percentages.

Formula:

$$\text{Percentage} = \frac{\text{Number of Respondents}}{\text{Total Respondents}} \times 100$$

Where,

Number of respondents = Number of people selecting a particular response

Total number of respondents = Total sample size

Usage in this study:

- To analyze demographic data (age, gender, department, etc.)
- To identify how many respondents agree/disagree with each statement

2. CHI-SQUARE TEST

The Chi-Square test is a statistical method used to examine whether there is a significant association between two categorical variables. It helps in determining whether the observed frequencies differ from the expected frequencies, indicating whether the variables are independent or related.

Formula:

$$\chi^2 = \sum \frac{(O - E)^2}{E}$$

Where,

χ^2 = Chi-square value

O = Observed frequency

E = Expected frequency

Usage in this study:

- To test the hypothesis (e.g., the relationship between department and fraud awareness)
- Helps to accept or reject the hypothesis

3. CORRELATION ANALYSIS:

Correlation analysis is a statistical method used to measure the strength and direction of the relationship between two variables. It helps in determining whether changes in one variable are associated with changes in another variable.

Formula (Karl Pearson's):

$$r = \frac{\sum (X - \bar{X})(Y - \bar{Y})}{\sqrt{\sum (X - \bar{X})^2 \sum (Y - \bar{Y})^2}}$$

where,

r = Correlation coefficient

X, Y = Variables under study

$\bar{X}, \bar{Y}$ = Mean values of the variables

Usage in this study:

- To analyze relationship between internal controls and fraud detection effectiveness

Value of r :

+1 → Perfect positive

0 → No relationship

-1 → Perfect negative

4. ONE-WAY ANOVA:

One-Way ANOVA is a statistical method used to compare the means of three or more groups to determine whether there is a significant difference among them. It helps in identifying whether at least one group mean is different from the others.

Formula:

$$F = \frac{MSB}{MSW}$$

Where,

F = F-statistic (ANOVA value)

MSB = Mean Square Between Groups

MSW = Mean Square Within Groups

Usage in this study:

- To compare the opinions of employees across different departments regarding fraud detection practices
- To identify whether perceptions differ significantly among groups

5. SINGLE LINEAR REGRESSION ANALYSIS:

Single linear regression analysis is a statistical method used to examine the relationship between one independent variable and one dependent variable. It helps in understanding how changes in the independent variable influence the dependent variable and is widely used for prediction and forecasting purposes.

Formula:

$$Y = a + bX$$

Where,

Y = Dependent variable (outcome)

X = Independent variable (predictor)

a = Intercept (value of Y when X = 0)

b = Regression coefficient (rate of change in Y with respect to X)

Usage in this study:

- To analyze the impact of internal controls on fraud detection effectiveness
- To predict outcomes based on independent variables

6. PAIRED SAMPLE T-TEST:

The paired sample t-test is a statistical method used to compare two related sets of observations to determine whether there is a significant difference between them. It is commonly used for “before and after” comparisons or when the same respondents are measured under two different conditions.

Formula:

$$t = \frac{\bar{d}}{s_n / \sqrt{n}}$$

where,

t = t-test value

$\bar{d}$ = Mean of the differences between paired observations

s_n = Standard deviation of the differences

n = Number of pairs

Usage in this study:

- To compare the before-and-after effects of fraud control measures
- To evaluate the effectiveness of implemented systems

CHAPTER-IV

DATA ANALYSIS AND

INTERPRETATION

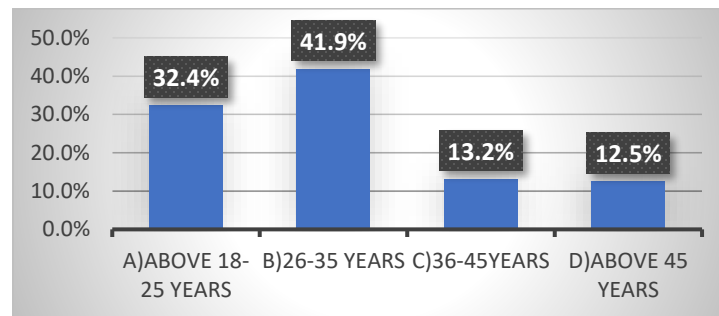
4.0 DATA ANALYSIS & INTERPRETATION

4.1 PERCENTAGE ANALYSIS

TABLE 4.1.1: TABLE SHOWING AGE-WISE DISTRIBUTION OF RESPONDENTS

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Above 18-25 years	44	32.4
2.	26-35 years	57	41.9
3.	36-45years	18	13.2
4	Above 45 years	17	12.5
	TOTAL	136	100.0

CHART 4.1.1: CHART SHOWING AGE-WISE DISTRIBUTION OF RESPONDENTS



INTERPRETATION:

From the above 3D-pie, it is observed that the majority of respondents belong to the age group of 26–35 years, constituting 41.9%. This is followed by respondents in the age group of 18–25 years, accounting for 32.4%. The age group of 36–45 years represents 13.2% of the respondents, while those above 45 years make up the smallest proportion at 12.5%.

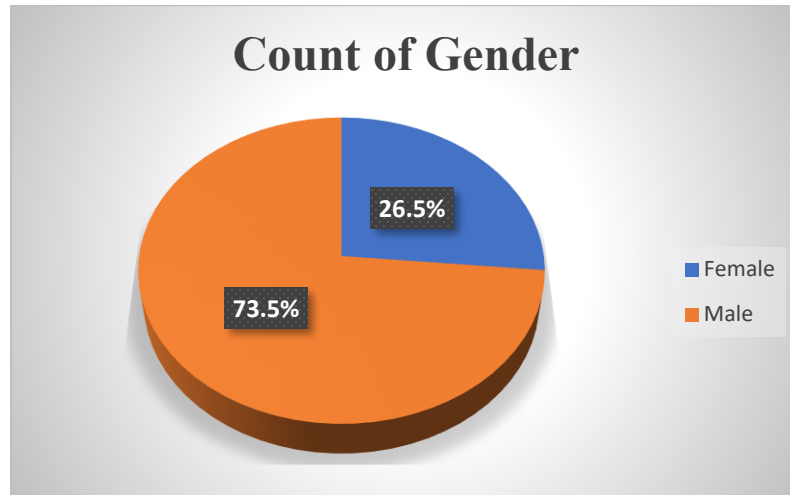
INFERENCE:

The majority of respondents are aged 26–35 years, indicating that the study is mainly influenced by young adults.

TABLE 4.1.2: TABLE SHOWING GENDER-WISE CLASSIFICATION OF RESPONDENTS

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Male	100	73.5
2.	Female	36	26.5
	TOTAL	136	100.0

CHART 4.1.2: CHART SHOWING GENDER-WISE CLASSIFICATION OF RESPONDENTS



INTERPRETATION:

The pie chart shows that the majority of respondents are male (73.5%), while females constitute 26.5%.

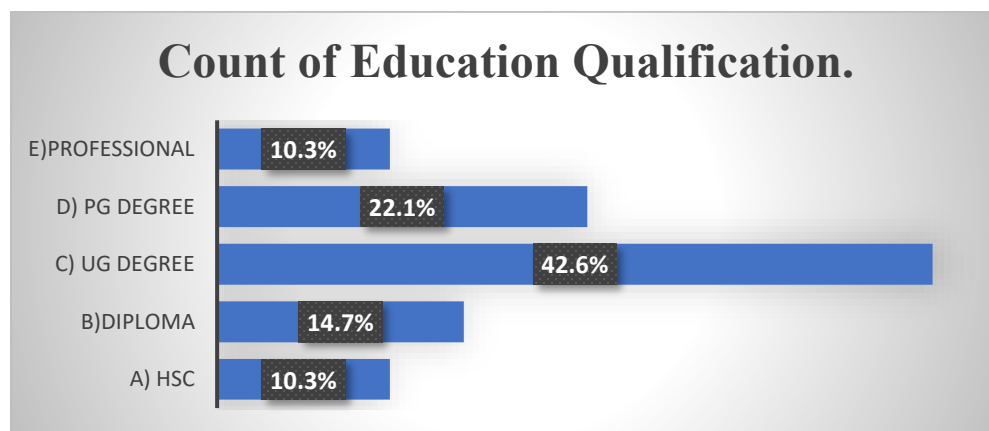
INFERENCE:

The study is mainly dominated by male respondents, indicating lesser participation from females.

TABLE 4.1.3: TABLE SHOWING EDUCATIONAL QUALIFICATION OF RESPONDENTS

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	HSC	14	10.3
2.	Diploma	20	14.7
3.	UG Degree	58	42.6
4.	PG Degree	30	22.1
5.	Professional	14	10.3
	TOTAL	136	100.0

CHART 4.1.3: CHART SHOWING EDUCATIONAL QUALIFICATION OF RESPONDENTS



INTERPRETATION:

The chart shows that most respondents have a UG degree (42.6%), followed by PG degree (22.1%), while HSC and Professional qualifications have the lowest percentage (10.3% each).

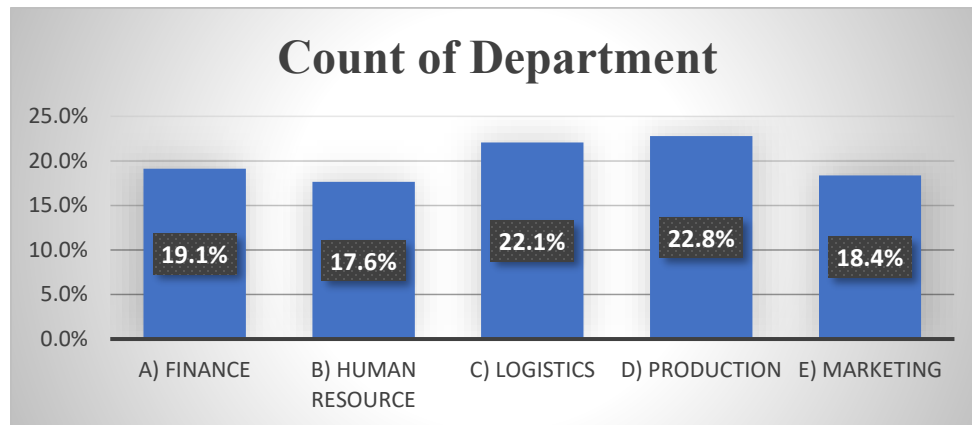
INFERENCE:

The study is mainly influenced by graduates, indicating that most respondents are well-educated.

TABLE 4.1.4: TABLE SHOWING DEPARTMENT-WISE DISTRIBUTION OF RESPONDENTS

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Finance	26	19.1
2.	Human Resource	24	17.6
3.	Logistics	30	22.1
4.	Production	31	22.8
5.	Marketing	25	18.4
	TOTAL	136	100.0

CHART 4.1.4: CHART SHOWING DEPARTMENT-WISE DISTRIBUTION OF RESPONDENTS



INTERPRETATION:

The chart shows that the highest number of respondents is from the Production department (22.8%), followed by Logistics (22.1%), while Human Resources has the lowest percentage (17.6%).

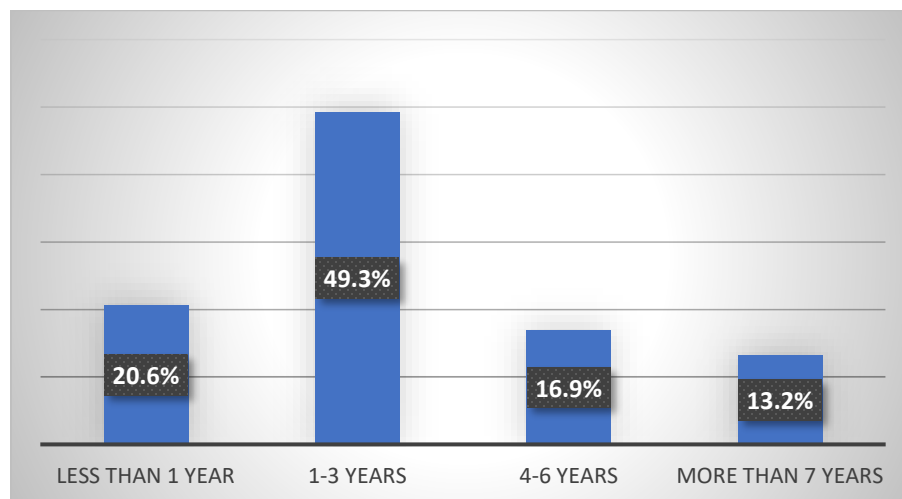
INFERENCE:

The study is slightly dominated by respondents from the Production and Logistics departments, indicating balanced representation across departments.

TABLE 4.1.5: TABLE SHOWING WORK EXPERIENCE OF RESPONDENTS

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Less than 1 year	28	20.6
2.	1-3 years	67	49.3
3.	4-6 years	23	16.9
4	More than 7 years	18	13.2
	TOTAL	136	100.0

CHART 4.1.5: CHART SHOWING WORK EXPERIENCE OF RESPONDENTS



INTERPRETATION:

The chart shows that most respondents have 1–3 years of work experience (49.3%), while the least have more than 7 years (13.2%).

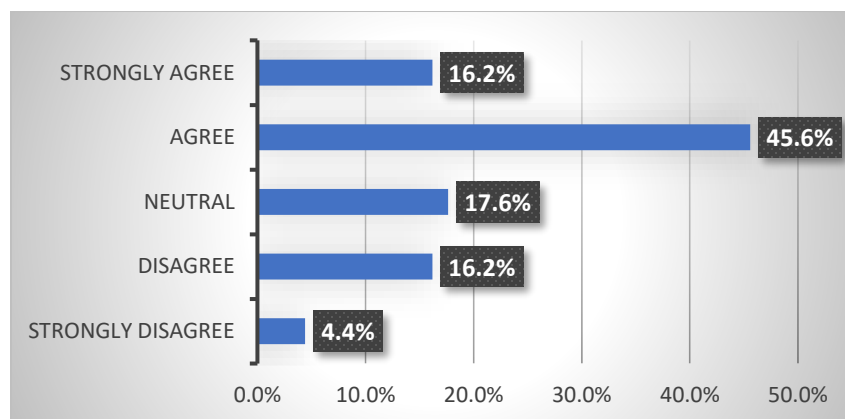
INFERENCE:

The study is mainly influenced by respondents with moderate experience, indicating a workforce dominated by early-career employees.

TABLE 4.1.6: TABLE SHOWING THE ORGANIZATION HAS STRONG CONTROLS OVER VENDOR SELECTION

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	6	4.4
2.	Disagree	22	16.2
3.	Neutral	24	17.6
4.	Agree	62	45.6
5.	Strongly Agree	22	16.2
	TOTAL	136	100.0

CHART 4.1.6: CHART SHOWING THE ORGANIZATION HAS STRONG CONTROLS OVER VENDOR SELECTION



INTERPRETATION:

The above clustered bar chart shows 61.8% of respondents agree that the organization has strong controls over vendor selection. 20.6% of respondents disagree with the statement, while the remaining 17.6% of respondents are neutral.

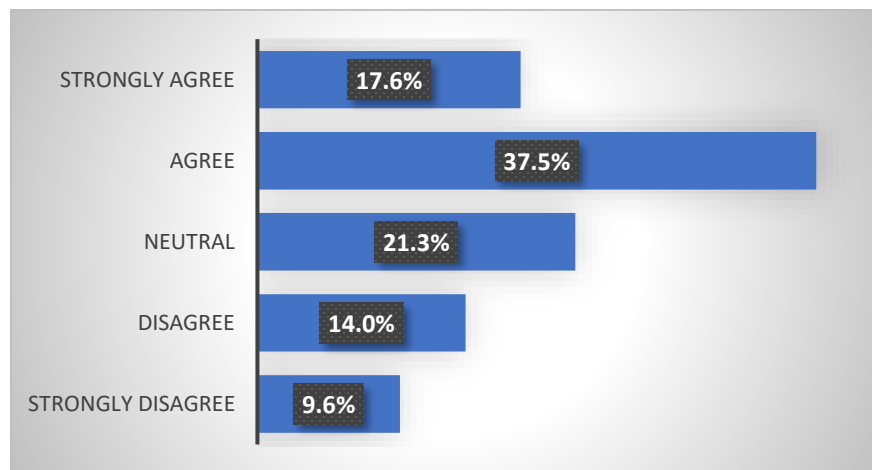
INFERENCE:

The majority of respondents have a positive perception of the organization's vendor selection controls, indicating overall effectiveness with some scope for improvement.

TABLE 4.1.7: TABLE SHOWING PROCUREMENT PROCESSES ARE TRANSPARENT AND WELL-DOCUMENTED.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	13	9.6
2.	Disagree	19	14.0
3.	Neutral	29	21.3
4.	Agree	51	37.5
5.	Strongly Agree	24	17.6
	TOTAL	136	100.0

CHART 4.1.7: CHART SHOWING PROCUREMENT PROCESSES ARE TRANSPARENT AND WELL-DOCUMENTED.



INTERPRETATION:

In the above stacked bar chart shows, 55.1% of respondents agree that the procurement processes are transparent and well- documented 23.6% of respondents disagree with the statement, while the remaining 21.3% of respondents are neutral.

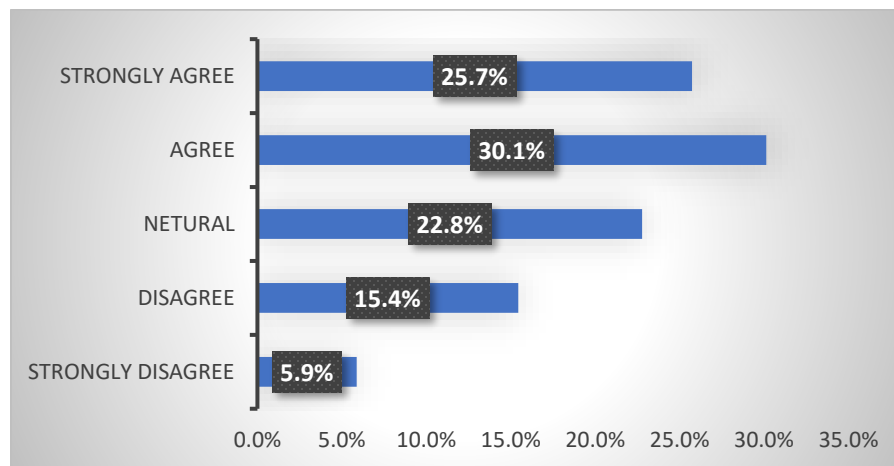
INFERENCE:

Most respondents have a positive opinion, indicating that procurement processes are generally transparent and well-documented.

TABLE 4.1.8:TABLE SHOWING THERE IS PROPER VERIFICATION BEFORE APPROVING PURCHASE ORDERS.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	21	15.4
3.	Neutral	31	22.8
4.	Agree	41	30.1
5.	Strongly Agree	35	25.7
	TOTAL	136	100.0

CHART 4.1.8: CHART SHOWING THERE IS PROPER VERIFICATION BEFORE APPROVING PURCHASE ORDERS.



INTERPRETATION:

The stacked bar chart shows 55.8% of respondents agree that there is proper verification before approving a purchase order, 21.3% of respondents disagree with the statement, while the remaining 22.8% of respondents are neutral.

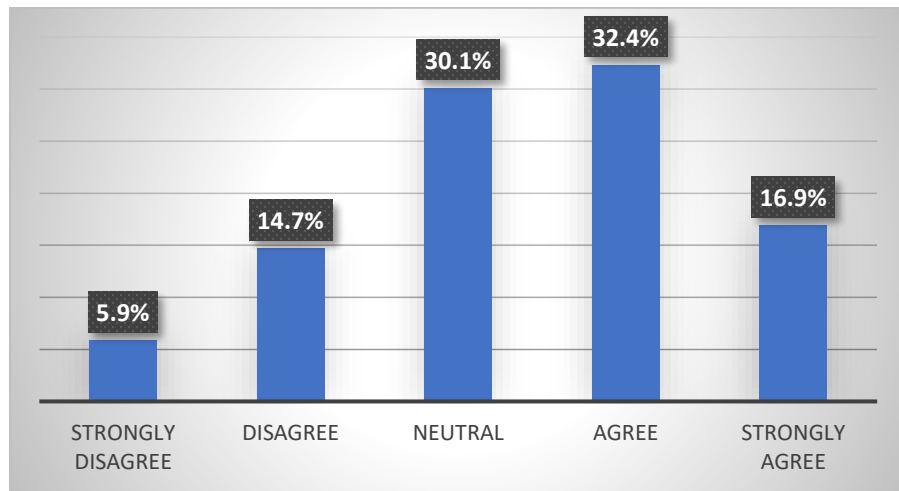
INFERENCE:

Most respondents have a positive opinion, indicating that there is proper verification before approving purchase orders.

TABLE 4.1.9: TABLE SHOWING EMPLOYEES FOLLOW ETHICAL PRACTICES DURING PROCUREMENT ACTIVITIES.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	20	14.7
3.	Neutral	41	30.1
4.	Agree	44	32.4
5.	Strongly Agree	23	16.9
	TOTAL	136	100.0

CHART 4.1.9: CHART SHOWING EMPLOYEES FOLLOW ETHICAL PRACTICES DURING PROCUREMENT ACTIVITIES.



INTERPRETATION:

The chart shows that 49.3% of respondents agree that employees follow ethical practices during procurement activities, 20.6% disagree, and 30.1% remain neutral.

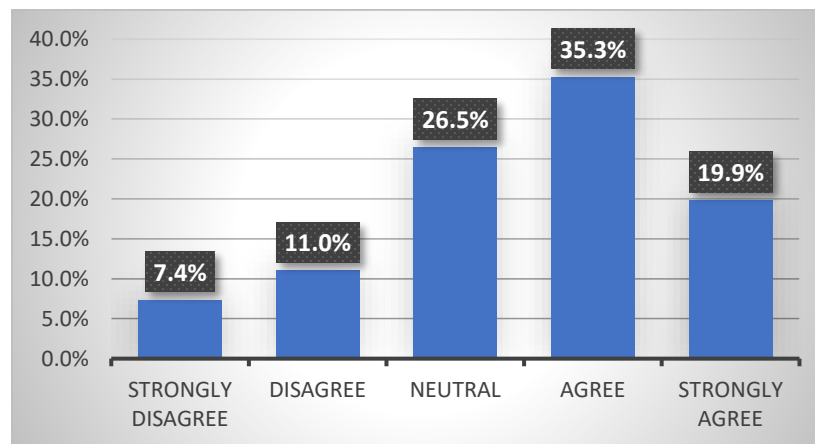
INFERENCE:

Most respondents believe that employees follow ethical practices, but a notable portion are neutral or disagree, indicating scope for improvement.

TABLE 4.1.10: TABLE SHOWING INTERNAL AUDITS EFFECTIVELY DETECT PROCUREMENT-RELATED FRAUD.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	10	7.4
2.	Disagree	15	11.0
3.	Neutral	36	26.5
4.	Agree	48	35.3
5.	Strongly Agree	27	19.9
	TOTAL	136	100.0

CHART 4.1.10: CHART SHOWING INTERNAL AUDITS EFFECTIVELY DETECT PROCUREMENT-RELATED FRAUD.



INTERPRETATION:

The clustered column chart shows 55.2% of respondents agree that the internal audit effectively detects procurement-related fraud, 18.4 % of respondents disagree with the statement, while the remaining 26.5% of respondents are neutral.

INFERENCE:

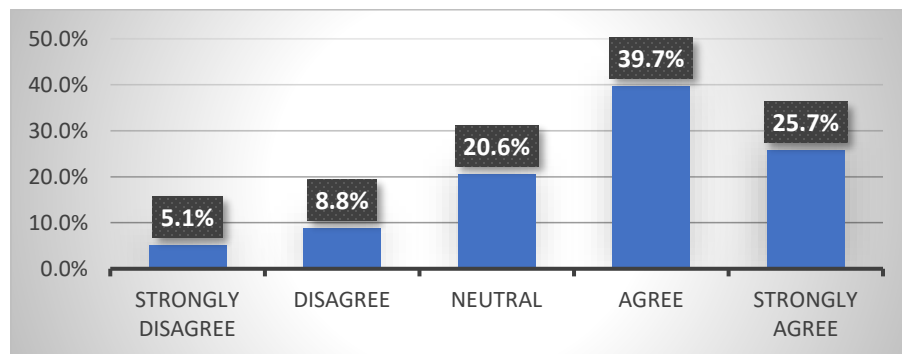
Most respondents believe that internal audits effectively detect procurement-related fraud, though some uncertainty remains among respondents.

INVENTORY FRAUD

TABLE 4.1.11: TABLE SHOWING INVENTORY RECORDS ARE REGULARLY UPDATED AND MONITORED.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	7	5.1
2.	Disagree	12	8.8
3.	Neutral	28	20.6
4.	Agree	54	39.7
5.	Strongly Agree	35	25.7
	TOTAL	136	100.0

CHART 4.1.11: CHART SHOWING INVENTORY RECORDS ARE REGULARLY UPDATED AND MONITORED.



INTERPRETATION:

The clustered column chart shows 65.4% of respondents agree that the inventory records are regularly updated and monitored, 13.9 % of respondents disagree with the statement, while the remaining 20.6% of respondents are neutral.

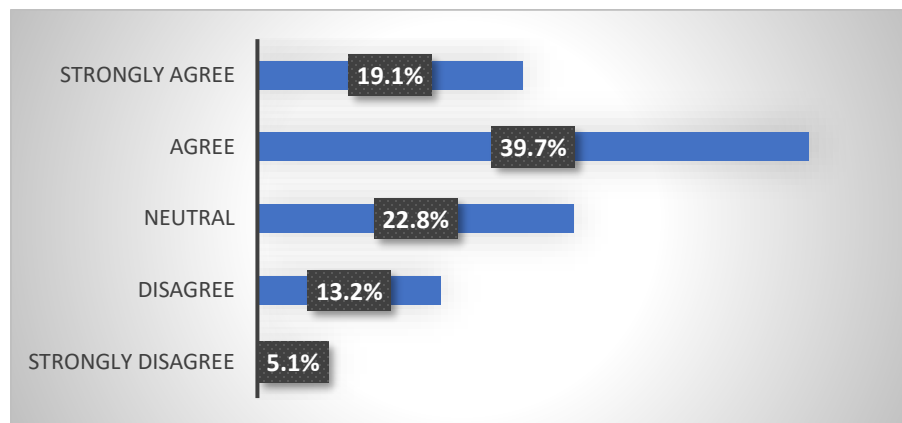
INFERENCE:

Most respondents agree that inventory records are regularly updated and monitored, indicating an effective inventory management system

TABLE 4.1.12: TABLE SHOWING PHYSICAL STOCK VERIFICATION IS CONDUCTED PERIODICALLY.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	7	5.1
2.	Disagree	18	13.2
3.	Neutral	31	22.8
4.	Agree	54	39.7
5.	Strongly Agree	26	19.1
	TOTAL	136	100.0

CHART 4.1.12: CHART SHOWING PHYSICAL STOCK VERIFICATION IS CONDUCTED PERIODICALLY.



INTERPRETATION:

The stacked bar chart shows 58.8 % of respondents agree that the physical stock verification is conducted periodically, 18.3% of respondents disagree with the statement, while the remaining 22.8% of respondents are neutral.

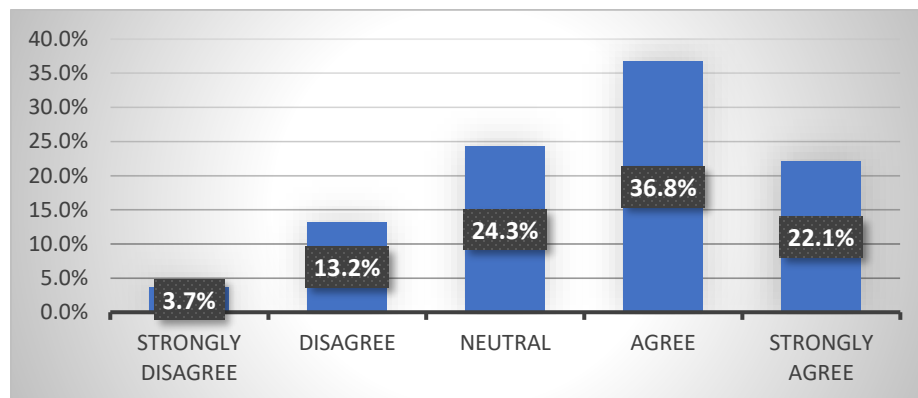
INFERENCE:

Most respondents agree that physical stock verification is conducted periodically, indicating effective inventory control practices.

TABLE 4.1.13: TABLE SHOWING THERE ARE PROPER CONTROLS TO PREVENT THEFT OR MISUSE OF INVENTORY.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	5	3.7
2.	Disagree	18	13.2
3.	Neutral	33	24.3
4.	Agree	50	36.8
5.	Strongly Agree	30	22.1
	TOTAL	136	100.0

CHART 4.1.13: CHART SHOWING THERE ARE PROPER CONTROLS TO PREVENT THEFT OR MISUSE OF INVENTORY.



INTERPRETATION:

The clustered column chart shows 58.9 % of respondents agree that there are proper controls to prevent theft or misuse of inventory, 16.9% of respondents disagree with the statement, while the remaining 24.3% of respondents are neutral.

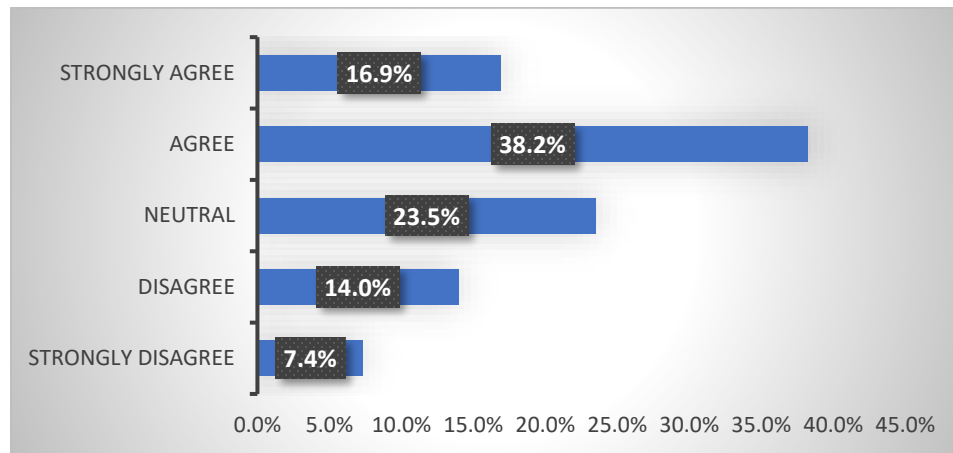
INFERENCE:

Most respondents agree that proper controls are in place to prevent theft or misuse of inventory, indicating a secure inventory management system.

TABLE 4.1.14: TABLE SHOWING INVENTORY DISCREPANCIES ARE QUICKLY IDENTIFIED AND RESOLVED.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	10	7.4
2.	Disagree	19	14.0
3.	Neutral	32	23.5
4.	Agree	52	38.2
5.	Strongly Agree	23	16.9
	TOTAL	136	100.0

CHART 4.1.14: CHART SHOWING INVENTORY DISCREPANCIES ARE QUICKLY IDENTIFIED AND RESOLVED.



INTERPRETATION:

The above stacked bar chart shows 55.1 %of respondents agree that the inventory discrepancies are quickly identified and resloved.21.4% of respondents disagree with the statement, while the remaining 23.5% of respondents are neutral.

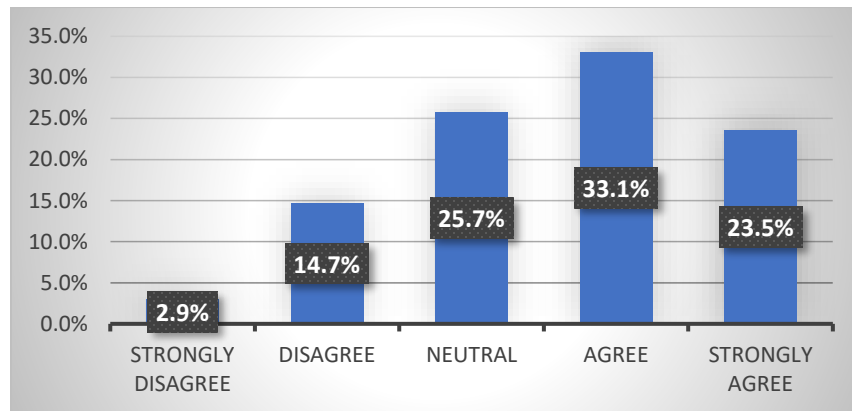
INFERENCE:

Most respondents agree that inventory discrepancies are quickly identified and resolved, indicating an efficient issue-handling process.

TABLE 4.1.15: TABLE SHOWING TECHNOLOGY HELPS IN REDUCING INVENTORY FRAUD.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	4	2.9
2.	Disagree	20	14.7
3.	Neutral	35	25.7
4.	Agree	45	33.1
5.	Strongly Agree	32	23.5
	TOTAL	136	100.0

CHART 4.1.15: CHART SHOWING TECHNOLOGY HELPS IN REDUCING INVENTORY FRAUD.



INTERPRETATION:

The above stacked column chart shows 56.6 %of respondents agree that the technology helps in reducing inventory fraud .17.6% of respondents disagree with the statement, while the remaining 25.7% of respondents are neutral.

INFERENCE:

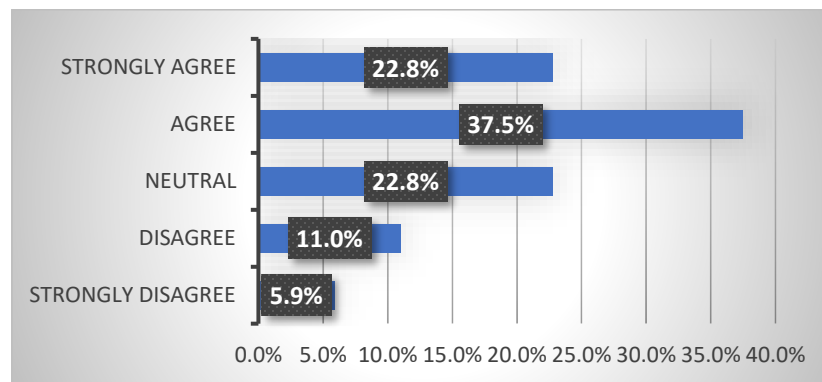
Most respondents agree that technology helps reduce inventory fraud, indicating a positive impact of technology on inventory control.

PAYROLL FRAUD

TABLE 4.1.16: TABLE SHOWING THE PAYROLL SYSTEM ENSURES ACCURATE EMPLOYEE SALARY PROCESSING.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	15	11.0
3.	Neutral	31	22.8
4.	Agree	51	37.5
5.	Strongly Agree	31	22.8
	TOTAL	136	100.0

CHART 4.1.16: CHART SHOWING THE PAYROLL SYSTEM ENSURES ACCURATE EMPLOYEE SALARY PROCESSING.



INTERPRETATION:

The above clustered bar chart shows 60.3% of respondents agree that the payroll system accurately processes employee salary processing .16.9% of respondents disagree with the statement, while the remaining 22.8% of respondents are neutral.

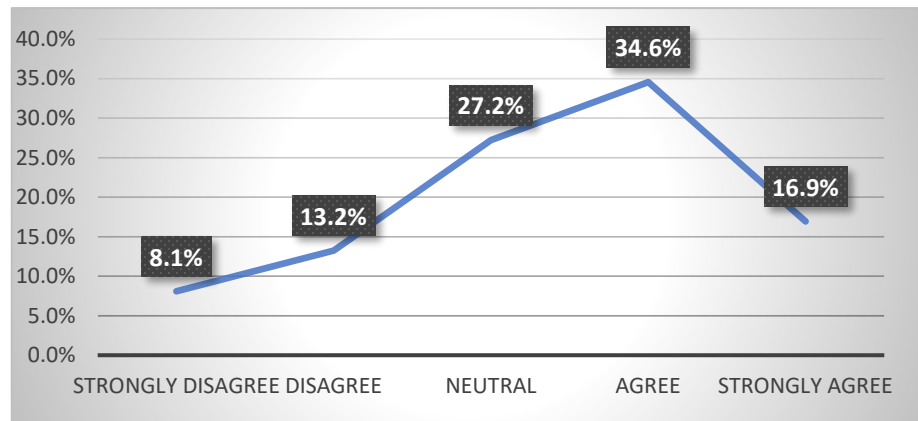
INFERENCE:

Most respondents agree that the payroll system accurately processes employee salaries, indicating an efficient payroll system.

TABLE 4.1.17: TABLE SHOWING THERE ARE CONTROLS TO PREVENT FAKE OR GHOST EMPLOYEES.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	11	8.1
2.	Disagree	18	13.2
3.	Neutral	37	27.2
4.	Agree	47	34.6
5.	Strongly Agree	23	16.9
	TOTAL	136	100.0

CHART 4.1.17: CHART SHOWING THERE ARE CONTROLS TO PREVENT FAKE OR GHOST EMPLOYEES.



INTERPRETATION:

The above Line chart shows 51.5% of respondents agree that there are controls to prevent fake or ghost employees, 21.3% of respondents disagree with the statement, while the remaining 27.2 % of respondents are neutral.

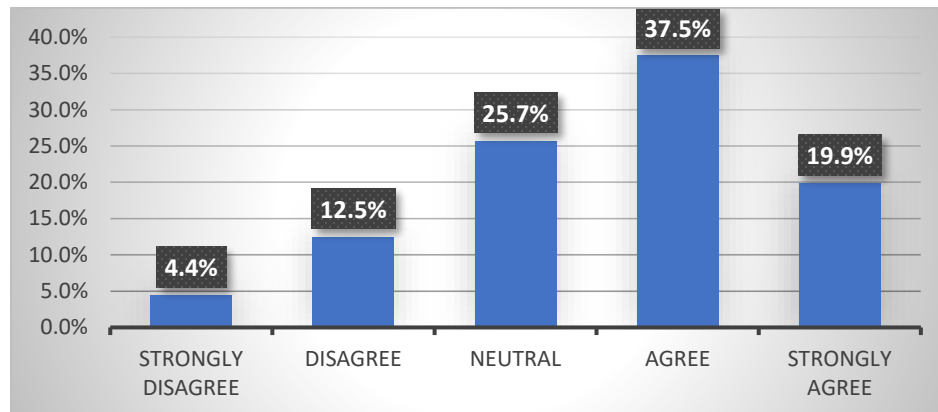
INFERENCE:

Most respondents agree that controls exist to prevent fake or ghost employees, though some uncertainty remains among respondents.

TABLE 4.1.18: TABLE SHOWING ATTENDANCE AND PAYROLL DATA ARE PROPERLY VERIFIED.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	6	4.4
2.	Disagree	17	12.5
3.	Neutral	35	25.7
4.	Agree	51	37.5
5.	Strongly Agree	27	19.9
	TOTAL	136	100.0

CHART 4.1.18: CHART SHOWING ATTENDANCE AND PAYROLL DATA ARE PROPERLY VERIFIED.



INTERPRETATION:

The above clustered column chart shows 57.4% of respondents agree that the attendance and payroll data are properly verified, 16.9% of respondents disagree with the statement, while the remaining 25.7% of respondents are neutral.

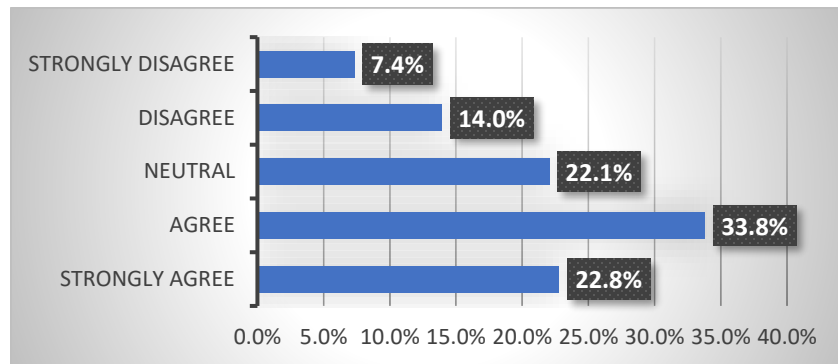
INFERENCE:

Most respondents agree that attendance and payroll data are properly verified, indicating effective verification controls.

TABLE 4.1.19: TABLE SHOWING SALARY PAYMENTS ARE AUTHORIZED BY APPROPRIATE PERSONNEL.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	10	7.4
2.	Disagree	19	14.0
3.	Neutral	30	22.1
4.	Agree	46	33.8
5.	Strongly Agree	31	22.8
	TOTAL	136	100.0

CHART 4.1.19: CHART SHOWING SALARY PAYMENTS ARE AUTHORIZED BY APPROPRIATE PERSONNEL.



INTERPRETATION:

The above clustered bar chart shows 56.6% of respondents agree that the salary payments are authorized by personnel, 21.4% of respondents disagree with the statement, while the remaining 22.1% of respondents are neutral.

INFERENCE:

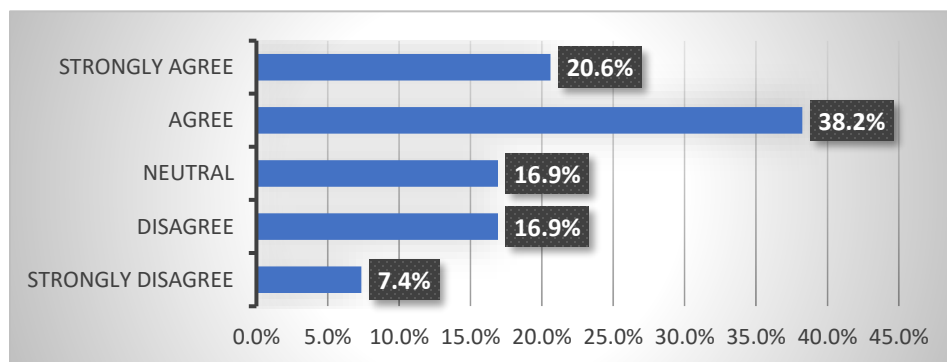
Most respondents agree that salary payments are properly authorized, indicating effective authorization controls in the payroll system.

EXPENSE REIMBURSEMENT FRAUD

TABLE 4.1.20: TABLE SHOWING EXPENSE CLAIMS ARE SUPPORTED BY VALID DOCUMENTS AND BILLS.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	10	7.4
2.	Disagree	23	16.9
3.	Neutral	23	16.9
4.	Agree	52	38.2
5.	Strongly Agree	28	20.6
	TOTAL	136	100.0

CHART 4.1.20: CHART SHOWING EXPENSE CLAIMS ARE SUPPORTED BY VALID DOCUMENTS AND BILLS.



INTERPRETATION:

The above clustered bar chart shows 58.8% of respondents agree that the expense claims are supported by valid documents and bills, 24.3% of respondents disagree with the statement, while the remaining 16.9 % of respondents are neutral.

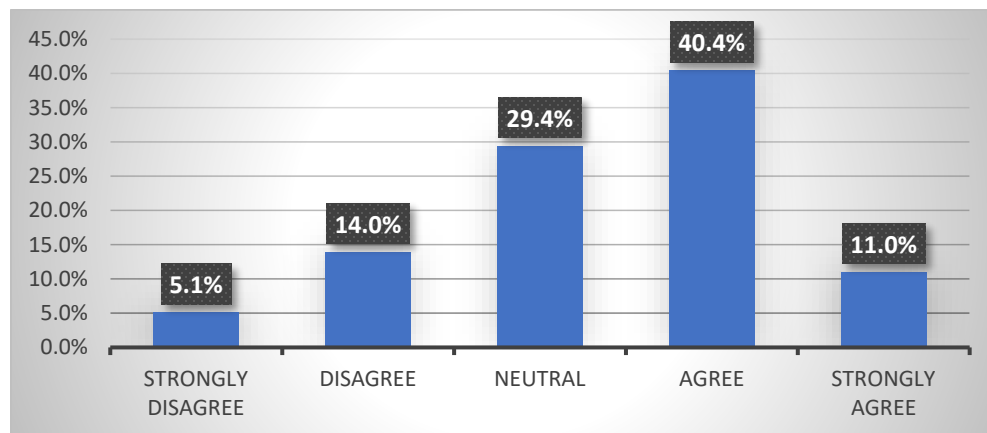
INFERENCE:

Most respondents agree that expense claims are supported by valid documents, though a notable level of disagreement suggests scope for better compliance.

TABLE 4.1.21: TABLE SHOWING THERE IS PROPER VERIFICATION IS DONE BEFORE REIMBURSEMENT APPROVAL.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	7	5.1
2.	Disagree	19	14.0
3.	Neutral	40	29.4
4.	Agree	55	40.4
5.	Strongly Agree	15	11.0
	TOTAL	136	100.0

CHART 4.1.21: CHART SHOWING THERE IS PROPER VERIFICATION IS DONE BEFORE REIMBURSEMENT APPROVAL.



INTERPRETATION:

The above clustered bar chart shows 51.4 % of respondents agree that proper verification is done before reimbursement approval, 19.1% of respondents disagree with the statement, while the remaining 29.4 % of respondents are neutral.

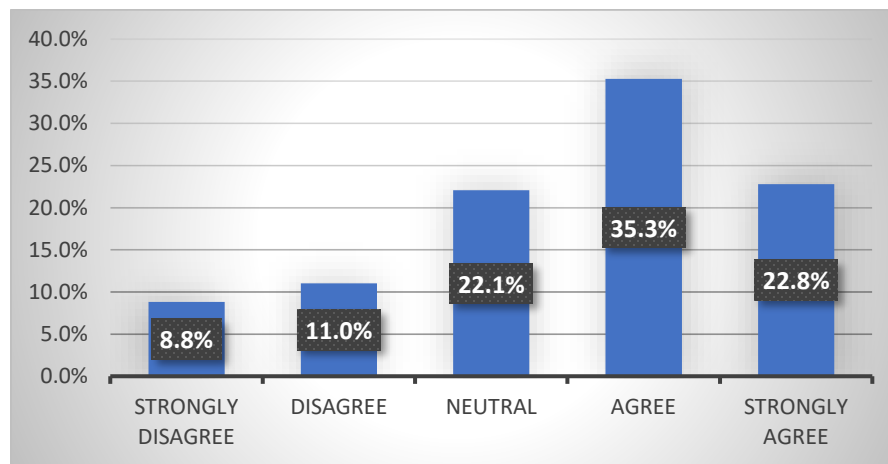
INFERENCE:

Most respondents agree that proper verification is done before reimbursement approval, though a high neutral response indicates some uncertainty.

TABLE 4.1.22: TABLE SHOWING ORGANISAZATION POLICIES CLEARLY DEFINE ELIGIBLE AND NON-ELIGIBLE EXPENSES.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	12	8.8
2.	Disagree	15	11.0
3.	Neutral	30	22.1
4.	Agree	48	35.3
5.	Strongly Agree	31	22.8
	TOTAL	136	100.0

CHART 4.1.22: CHART SHOWING ORGANISAZATION POLICIES CLEARLY DEFINE ELIGIBLE AND NON-ELIGIBLE EXPENSES.



INTERPRETATION:

The above clustered bar chart shows 58.1% of respondents agree that the organization's policies clearly define eligible and non-eligible. 19.8% of respondents disagree with the statement, while the remaining 22.1% of respondents are neutral.

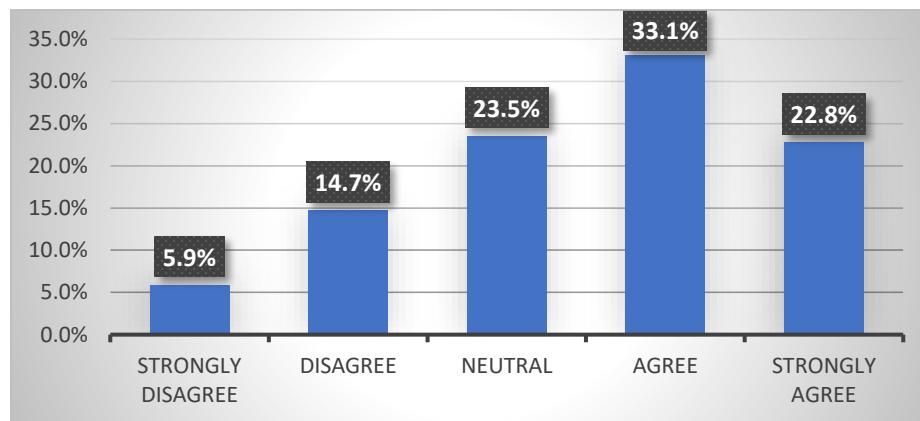
INFERENCE:

Most respondents agree that the organization's policies clearly define eligible and non-eligible expenses, indicating clear policy guidelines.

TABLE 4.1.23: TABLE SHOWING FAKE OR INFLATED CLAIMS ARE EASILY DETECTED.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	20	14.7
3.	Neutral	32	23.5
4.	Agree	45	33.1
5.	Strongly Agree	31	22.8
	TOTAL	136	100.0

CHART 4.1.23: CHART SHOWING FAKE OR INFLATED CLAIMS ARE EASILY DETECTED.



INTERPRETATION:

The above clustered column chart shows 55.9% of respondents agree that the fake or inflated claims are easily detected, 20.6% of respondents disagree with the statement, while the remaining 23.5 % of respondents are neutral.

INFERENCE:

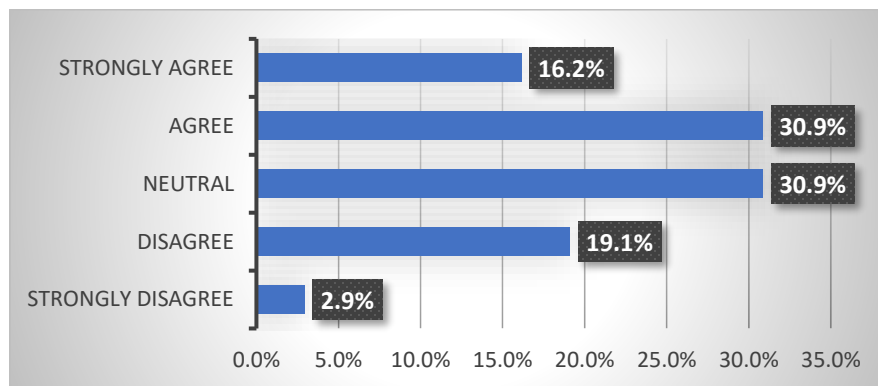
Most respondents agree that fake or inflated claims are easily detected, indicating effective monitoring and control mechanisms.

FINANCIAL STATEMENT FRAUD

TABLE 4.1.24: TABLE SHOWING FINANCIAL STATEMENTS ARE PREPARED WITH ACCURACY AND TRANSPARENCY.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	4	2.9
2.	Disagree	26	19.1
3.	Neutral	42	30.9
4.	Agree	42	30.9
5.	Strongly Agree	22	16.2
	TOTAL	136	100.0

CHART 4.1.24: CHART SHOWING FINANCIAL STATEMENTS ARE PREPARED WITH ACCURACY AND TRANSPARENCY.



INTERPRETATION:

The above clustered bar chart shows 47.1% of respondents agree that the financial statements are prepared with accuracy and transparency, 22% of respondents disagree with the statement, while the remaining 30.9% of respondents are neutral.

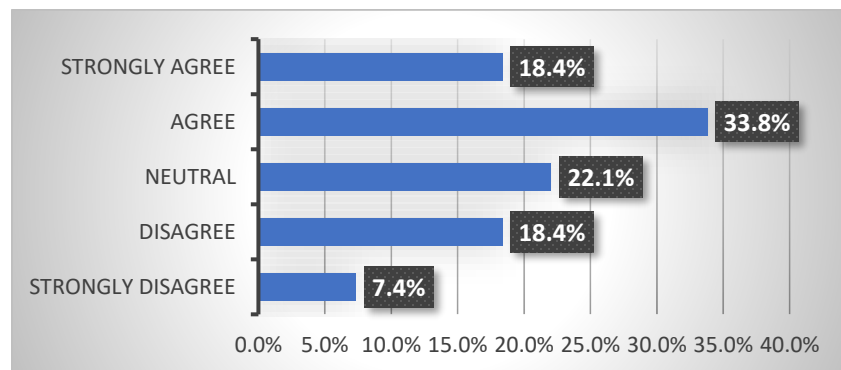
INFERENCE:

Less than half of the respondents agree that financial statements are accurate and transparent, indicating moderate confidence and a need for improvement.

TABLE 4.1.25: TABLE SHOWING INTERNAL AUDITS ENSURE RELIABILITY OF FINANCIAL REPORTS

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	10	7.4
2.	Disagree	25	18.4
3.	Neutral	30	22.1
4.	Agree	46	33.8
5.	Strongly Agree	25	18.4
	TOTAL	136	100.0

CHART 4.1.25: CHART SHOWING INTERNAL AUDITS ENSURE RELIABILITY OF FINANCIAL REPORTS



INTERPRETATION:

The above clustered bar chart shows 52.2% of respondents agree that the internal audits ensure reliability of financial reports, 25.8% of respondents disagree with the statement, while the remaining 22.1% of respondents are neutral.

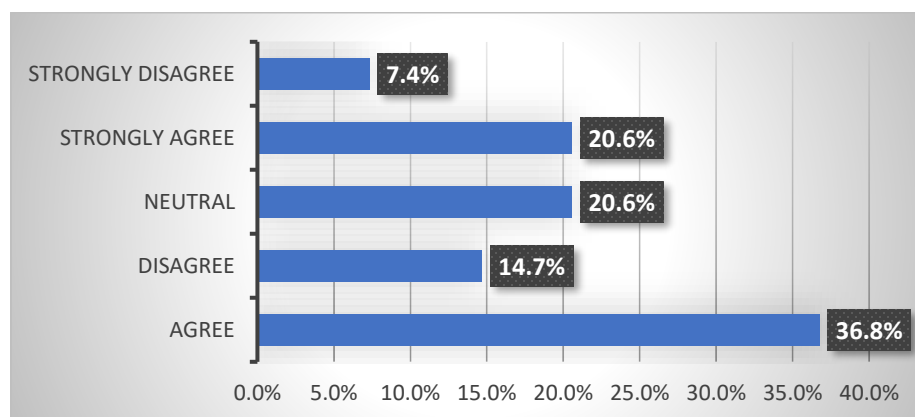
INFERENCE:

Most respondents agree that internal audits ensure the reliability of financial reports, though a significant level of disagreement indicates room for improvement.

TABLE 4.1.26: TABLE SHOWING THERE ARE CHECKS TO PREVENT MANIPULATION OF FINANCIAL DATA.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	10	7.4
2.	Disagree	20	14.7
3.	Neutral	28	20.6
4.	Agree	50	36.8
5.	Strongly Agree	28	20.6
	TOTAL	136	100.0

CHART 4.1.26: CHART SHOWING THERE ARE CHECKS TO PREVENT MANIPULATION OF FINANCIAL DATA.



INTERPRETATION:

The above clustered bar chart shows 51.5% of respondents agree that there are checks to prevent manipulation of financial data, 28% disagree with the statement, and the remaining 20.6% are neutral.

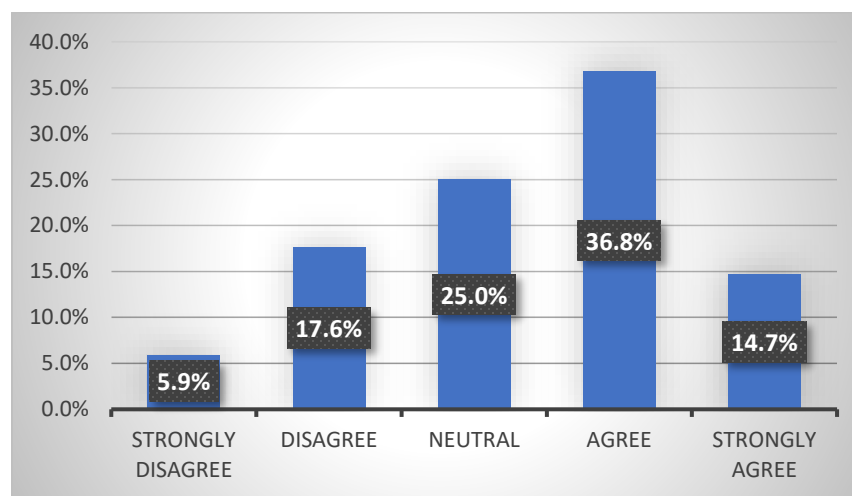
INFERENCE:

Most respondents agree that there are checks to prevent manipulation of financial data, though a significant level of disagreement indicates room for improvement.

TABLE 4.1.27: TABLE SHOWING MANAGEMENT FOLLOWS PROPER ACCOUNTING STANDARDS.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	24	17.6
3.	Neutral	34	25.0
4.	Agree	50	36.8
5.	Strongly Agree	20	14.7
	TOTAL	136	100.0

CHART 4.1.27: CHART SHOWING MANAGEMENT FOLLOWS PROPER ACCOUNTING STANDARDS.



INTERPRETATION:

The above clustered column chart shows 51.5% of respondents agree that the management follows proper accounting standards, 23.5% of respondents disagree with the statement, while the remaining 25.0% of respondents are neutral.

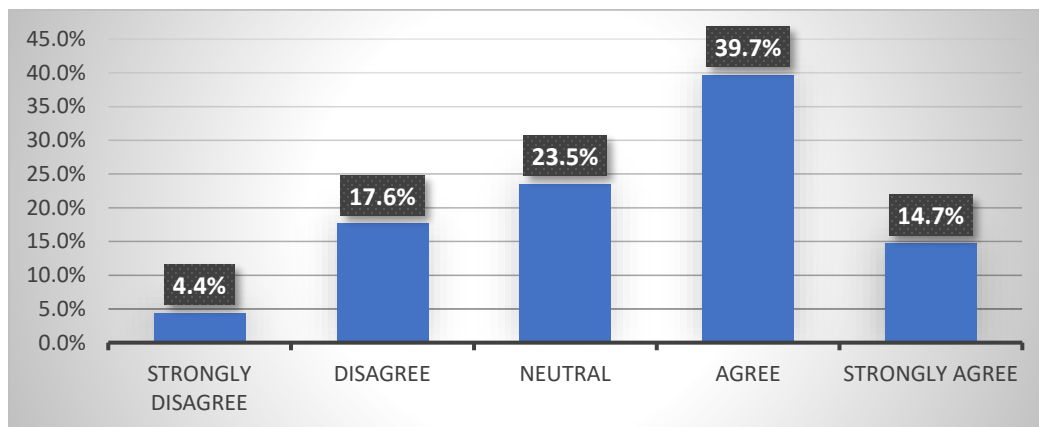
INFERENCE:

Most respondents agree that management follows proper accounting standards, but a notable level of disagreement indicates scope for improvement

TABLE 4.1.28: TABLE SHOWING FRAUD DETECTION SYSTEMS IDENTIFY IRREGULAR FINANCIAL ACTIVITY.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	6	4.4
2.	Disagree	24	17.6
3.	Neutral	32	23.5
4.	Agree	54	39.7
5.	Strongly Agree	20	14.7
	TOTAL	136	100.0

CHART 4.1.28: CHART SHOWING FRAUD DETECTION SYSTEMS IDENTIFY IRREGULAR FINANCIAL ACTIVITY.



INTERPRETATION:

The above clustered column chart that shows 54.4% of respondents agree that a fraud detection system identifies irregular financial activity, 22% of respondents disagree with the statement, and the remaining 23.5 % of respondents are neutral.

INFERENCE:

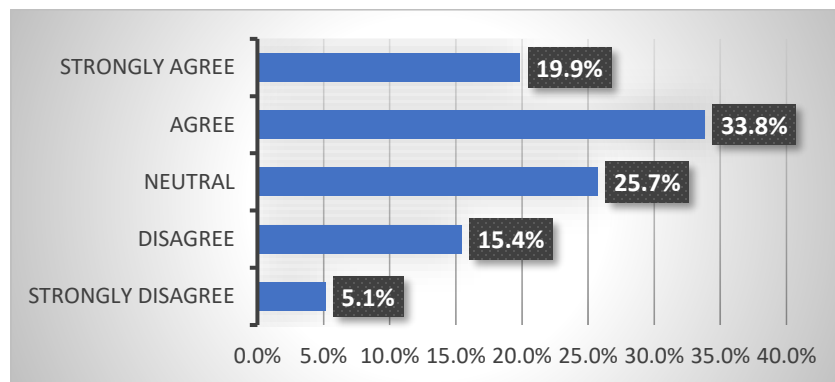
Most respondents agree that the fraud detection system identified irregular financial activity, indicating its effectiveness, though some scope for improvement exists.

ASSET MISAPPROPRIATION

TABLE 4.1.29: TABLE SHOWING ASSETS ARE PROPERLY RECORDED AND TRACKED IN THE SYSTEM.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	7	5.1
2.	Disagree	21	15.4
3.	Neutral	35	25.7
4.	Agree	46	33.8
5.	Strongly Agree	27	19.9
	TOTAL	136	100.0

CHART 4.1.29: CHART SHOWING ASSETS ARE PROPERLY RECORDED AND TRACKED IN THE SYSTEM.



INTERPRETATION:

The above clustered bar chart shows 53.7% of respondents agree that the assets are properly recorded and tracked in the system, 20.5% disagree with the statement, and the remaining 25.7% are neutral.

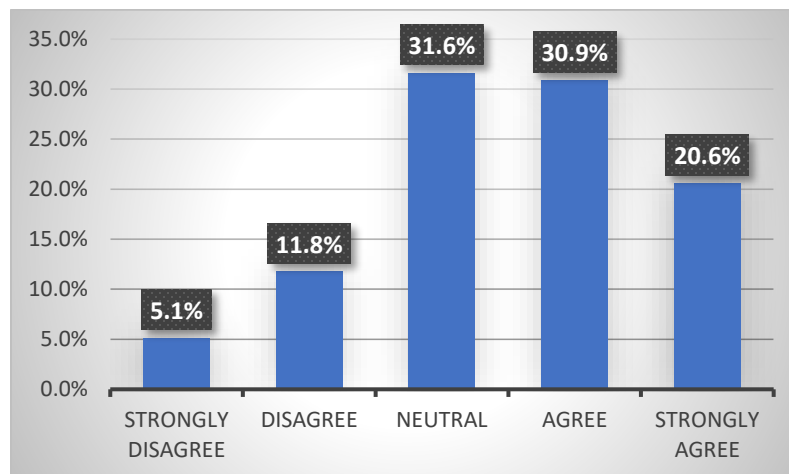
INFERENCE:

Most respondents believe assets are properly recorded and tracked, but suggest scope for better accuracy and trust.

TABLE 4.1.30: TABLE SHOWING THERE ARE CONTROLS PREVENTING UNAUTHORIZED USE OF ASSETS

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	7	5.1
2.	Disagree	16	11.8
3.	Neutral	43	31.6
4.	Agree	42	30.9
5.	Strongly Agree	28	20.6
	TOTAL	136	100.0

CHART 4.1.30: CHART SHOWING THERE ARE CONTROLS PREVENTING UNAUTHORIZED USE OF ASSETS



INTERPRETATION:

The above clustered column chart shows 51.5% of respondents agree that there are controls preventing unauthorized use of assets, 16.9% disagree with the statement, and the remaining 31.6% are neutral.

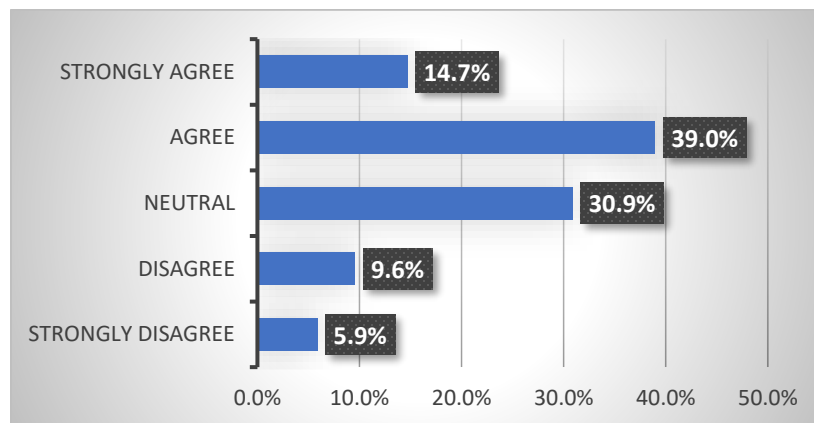
INFERENCE:

A majority feels controls are in place to prevent unauthorized asset use, but high neutrality suggests uncertainty and a need for stronger awareness or enforcement.

TABLE 4.1.31: TABLE SHOWING REGULAR AUDITS HELP IN IDENTIFYING ASSET MISUSE

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	13	9.6
3.	Neutral	42	30.9
4.	Agree	53	39.0
5.	Strongly Agree	20	14.7
	TOTAL	136	100.0

CHART 4.1.31: CHART SHOWING REGULAR AUDITS HELP IN IDENTIFYING ASSET MISUSE



INTERPRETATION:

The above clustered bar chart shows 53.7% of respondents agree that the regular audits help in identifying asset misuse, 15.5% disagree with the statement, and the remaining 30.9% are neutral.

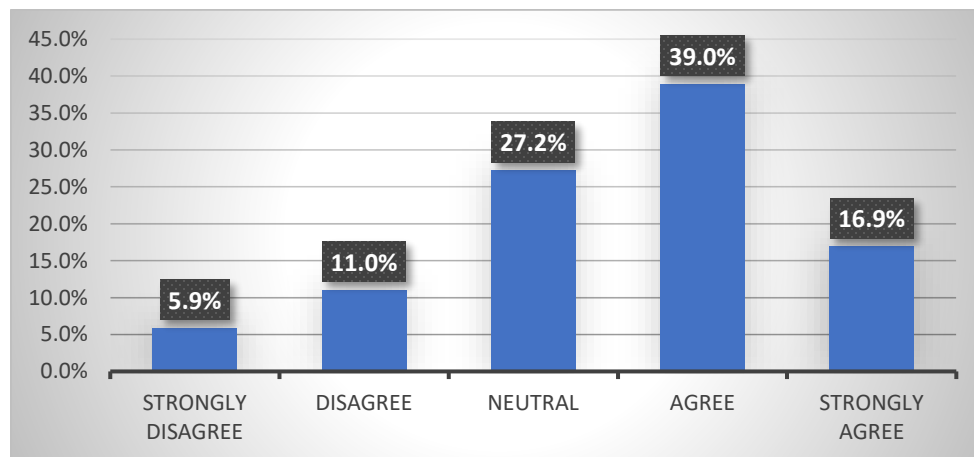
INFERENCE:

Most respondents believe regular audits help detect asset misuse, but a sizable neutral group suggests limited awareness.

TABLE 4.1.32: TABLE SHOWING EMPLOYEES ARE ACCOUNTABLE FOR THE ASSETS THEY HANDLE.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	15	11.0
3.	Neutral	37	27.2
4.	Agree	53	39.0
5.	Strongly Agree	23	16.9
	TOTAL	136	100.0

CHART 4.1.32: CHART SHOWING EMPLOYEES ARE ACCOUNTABLE FOR THE ASSETS THEY HANDLE.



INTERPRETATION:

The above clustered column chart shows 55.9% of respondents agree that the employees are accountable for the assets they handle, 16.9% disagree with the statement, and the remaining 27.2% are neutral.

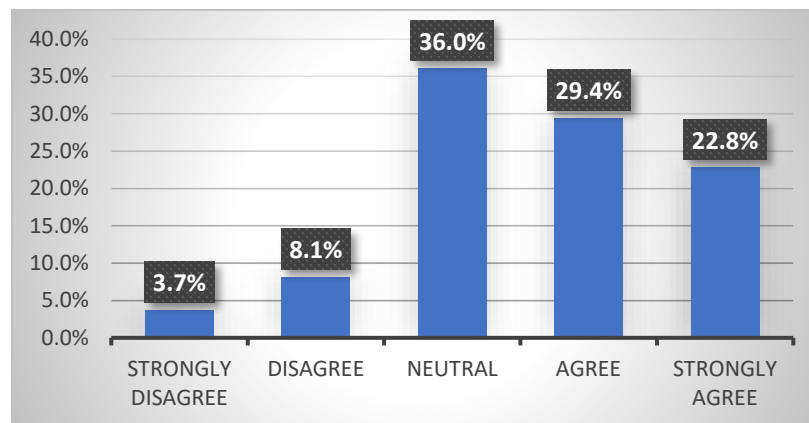
INFERENCE:

Most respondents feel employees are accountable for assets, but some uncertainty and disagreement indicate scope for stronger accountability measures.

TABLE 4.1.33: TABLE SHOWING ASSET MANAGEMENT SYSTEMS REDUCE FRAUD RISK OF MISAPPROPRIATION.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	5	3.7
2.	Disagree	11	8.1
3.	Neutral	49	36.0
4.	Agree	40	29.4
5.	Strongly Agree	31	22.8
	TOTAL	136	100.0

CHART 4.1.33: CHART SHOWING ASSET MANAGEMENT SYSTEMS REDUCE FRAUD RISK OF MISAPPROPRIATION.



INTERPRETATION:

The above clustered column chart shows 52.2% of respondents agree that the asset management systems reduce fraud risk of misappropriation, 11.8% disagree with the statement, and the remaining 36.0% are neutral.

INFERENCE:

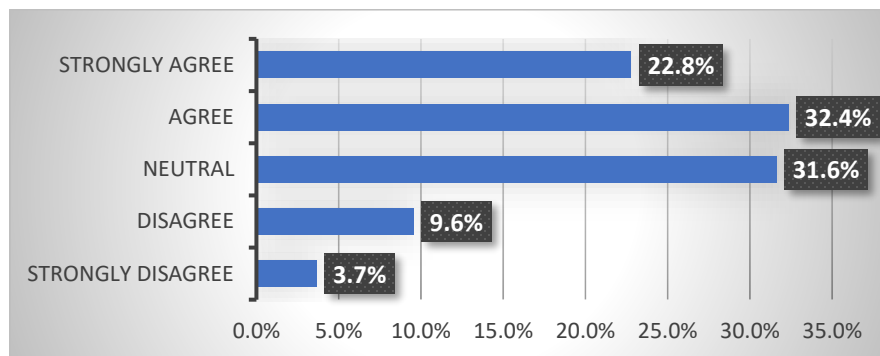
Most respondents believe asset management systems reduce fraud risk, but a high neutral response suggests uncertainty about their effectiveness.

BRIBERY & CORRUPTION

TABLE 4.1.34: TABLE SHOWING THE ORGANIZATION HAS STRICT ANTI-CORRUPTION POLICIES

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	5	3.7
2.	Disagree	13	9.6
3.	Neutral	43	31.6
4.	Agree	44	32.4
5.	Strongly Agree	31	22.8
	TOTAL	136	100.0

CHART 4.1.34: CHART SHOWING THE ORGANIZATION HAS STRICT ANTI-CORRUPTION POLICIES



INTERPRETATION:

The above clustered column chart shows 55.2% of respondents agree that the organization has strict anti-corruption policies, 13.3% disagree with the statement, and the remaining 31.6% are neutral.

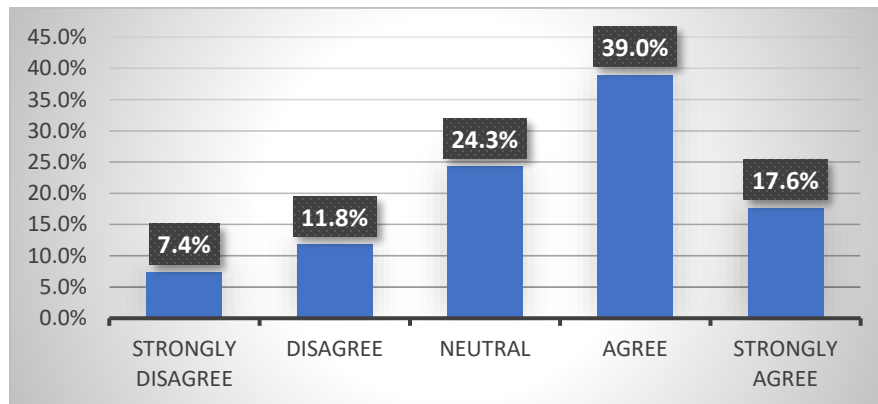
INFERENCE:

Most respondents believe the organization has strict anti-corruption policies, but a notable neutral group suggests limited awareness.

TABLE 4.1.35:TABLE SHOWING EMPLOYEES ARE AWARE OF ETHICAL GUIDELINES AND COMPLIANCE RULES.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	10	7.4
2.	Disagree	16	11.8
3.	Neutral	33	24.3
4.	Agree	53	39.0
5.	Strongly Agree	24	17.6
	TOTAL	136	100.0

CHART 4.1.35: CHART SHOWING EMPLOYEES ARE AWARE OF ETHICAL GUIDELINES AND COMPLIANCE RULES.



INTERPRETATION:

The above clustered column chart shows 56.6% of respondents agree that the employees are aware of ethical guidelines and compliance rules, 19.2% disagree with the statement, and the remaining 24.3% are neutral.

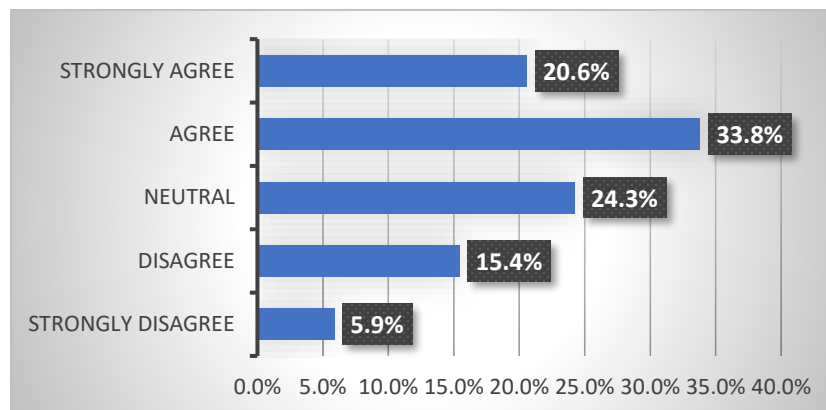
INFERENCE:

Most respondents feel employees are aware of ethical and compliance guidelines, though some disagreement indicates gaps in awareness

TABLE 4.1.36: TABLE SHOWING THERE IS A SYSTEM TO REPORT UNETHICAL PRACTICES SAFELY.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	8	5.9
2.	Disagree	21	15.4
3.	Neutral	33	24.3
4.	Agree	46	33.8
5.	Strongly Agree	28	20.6
	TOTAL	136	100.0

CHART 4.1.36: CHART SHOWING THERE IS A SYSTEM TO REPORT UNETHICAL PRACTICES SAFELY.



INTERPRETATION:

The above clustered bar chart shows 54.4% of respondents agree that there is a system to report unethical practices safely, 21.3% disagree with the statement, and the remaining 24.3% are neutral.

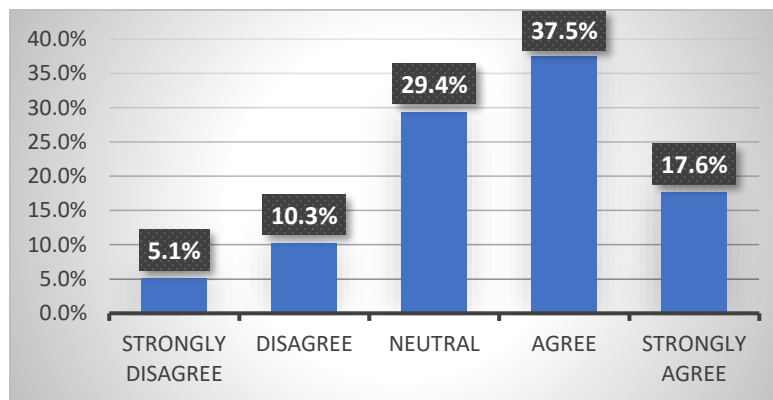
INFERENCE:

Most respondents believe a safe reporting system exists, but notable disagreement suggests concerns about its effectiveness.

TABLE 4.1.37: TABLE SHOWING MANAGEMENT TAKES ACTION AGAINST CORRUPTION-RELATED ACTIVITIES.

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	7	5.1
2.	Disagree	14	10.3
3.	Neutral	40	29.4
4.	Agree	51	37.5
5.	Strongly Agree	24	17.6
	TOTAL	136	100.0

CHART 4.1.37: CHART SHOWING MANAGEMENT TAKES ACTION AGAINST CORRUPTION-RELATED ACTIVITIES



INTERPRETATION:

The above clustered bar chart shows 55.1% of respondents agree that the management takes action against corruption-related activities, 15.4% disagree with the statement, and the remaining 29.4% are neutral.

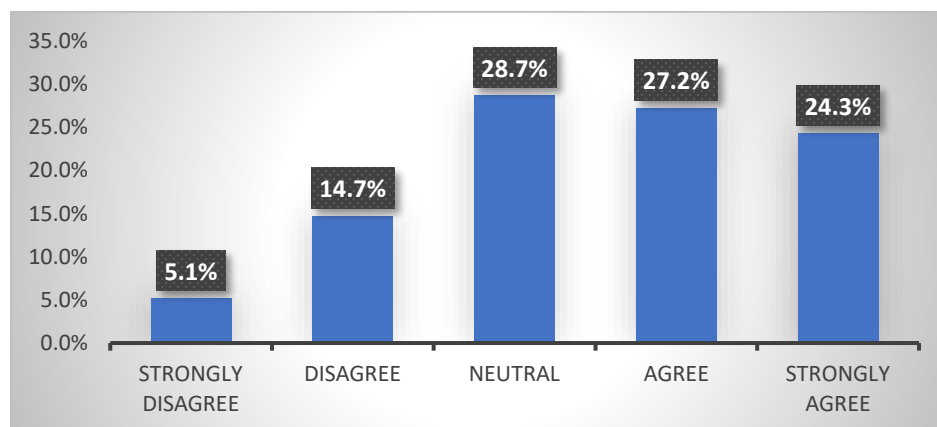
INFERENCE:

A majority believe management takes action against corruption, though some uncertainty remains among respondents.

TABLE 4.1.38: TABLE SHOWING TRAINING PROGRAMS IMPROVE AWARENESS OF POLICIES

S.NO	PARTICULARS	NUMBER OF RESPONDENTS	PERCENTAGE
1.	Strongly Disagree	7	5.1
2.	Disagree	20	14.7
3.	Neutral	39	28.7
4.	Agree	37	27.2
5.	Strongly Agree	33	24.3
	TOTAL	136	100.0

CHART 4.1.38: CHART SHOWING TRAINING PROGRAMS IMPROVE AWARENESS OF POLICIES



INTERPRETATION:

The above clustered bar chart shows 51.5% of respondents agree that there is a training program to improve awareness of policies, 19.8 % disagree with the statement, and the remaining 28.7% are neutral.

INFERENCE:

Most respondents believe training programs exist, suggesting gaps in awareness or effectiveness.

4.2 INFERENCE ANALYSIS:

4.2.1 CHI-SQUARE:

AIM:

The aim is to examine the detection and prevention of procurement fraud in the organization.

NULL HYPOTHESIS (H_0):

There is no significant relationship between employees' ethical practices and the effectiveness of internal audits in detecting procurement fraud.

ALTERNATIVE HYPOTHESIS (H_1):

There is a significant relationship between employees' ethical practices and the effectiveness of internal audits in detecting procurement fraud.

LEVEL OF SIGNIFICANCE:

The level of significance adopted for this study is 5% (0.05).

TABLE 4.2.1: TABLE OF SHOWING CHI-SQUARE TEST BETWEEN EMPLOYEES FOLLOWING ETHICAL PRACTICES DURING PROCUREMENT ACTIVITIES AND INTERNAL AUDITS EFFECTIVELY DETECT PROCUREMENT-RELATED FRAUD

CHI-SQUARE TEST:			
Particulars	Value	df	Asymptotic significance (2-Sided)
Pearson Chi-Square	32.865 ^a	16	0.008
Likelihood Ratio	29.679	16	0.020
Linear-by-Linear	7.068	1	0.008
N of Valid Cases	136		
a. 15 cells (60.0%) have expected count less than 5. The minimum expected count is .59.			

INTERPRETATION:

The Pearson Chi-square value is 32.865 with 16 degrees of freedom, and the p-value is 0.008. Since the p-value is less than the level of significance ($0.008 < 0.05$). The null hypothesis (H_0) is rejected, and the alternative hypothesis (H_1) is accepted. This indicates that there is a highly significant relationship between employees' ethical practices and the effectiveness of internal audits in detecting procurement-related fraud.

INFERENCE:

The p-value (0.008) is less than 0.05, there is a significant relationship between employees' ethical practices and the effectiveness of internal audits. This indicates that when employees follow better ethical practices, internal audits become more effective in identifying issues in procurement activities.

4.2.2CHI-SQUARE:

AIM:

The aim is to evaluate the measures used to detect payroll fraud.

NULL HYPOTHESIS (H_0):

There is no significant relationship between authorization of salary payments and controls to prevent fake or ghost employees.

ALTERNATIVE HYPOTHESIS (H_1):

There is a significant relationship between authorization of salary payments and controls to prevent fake or ghost employees.

LEVEL OF SIGNIFICANCE:

The level of significance is fixed at 5% (0.05).

TABLE 4.2.2: TABLE OF SHOWING CHI-SQUARE TEST BETWEEN SALARY PAYMENTS ARE AUTHORIZED BY APPROPRIATE PERSONNEL, AND THERE ARE CONTROLS TO PREVENT FAKE OR GHOST EMPLOYEES

CHI-SQUARE TEST:			
Particulars	Value	df	Asymptotic significance (2-Sided)
Pearson Chi-Square	32.919 ^a	16	0.008
Likelihood Ratio	23.449	16	0.102
Linear-by-Linear	2.836	1	0.092
N of Valid Cases	136		
a.13 cells (52.0%) have expected count less than 5. The minimum expected count is .81.			

INTERPRETATION:

The Pearson Chi-square value is 32.919 with 16 degrees of freedom and the p-value is 0.008. Since the p-value is less than 0.05 ($0.008 < 0.05$). The null hypothesis (H_0) is rejected and the alternative hypothesis (H_1) is accepted. This shows that there is a significant relationship between salary authorization and controls to prevent fake or ghost employees.

INFERENCE:

The p-value (0.008) is less than 0.05, there is a significant relationship between salary authorization and controls to prevent fake or ghost employees. This means that proper authorization of salary payments helps in effectively preventing fake employees and ensures better control in the payroll system.

4.2.3 CORRELATION ANALYSIS:

AIM:

The aim is to assess the monitoring of expense reimbursement fraud.

NULL HYPOTHESIS (H_0):

There is no significant relationship between expense claims being supported by valid documents and the detection of fake or inflated claims.

ALTERNATIVE HYPOTHESIS (H_1):

There is a significant relationship between expense claims being supported by valid documents and the detection of fake or inflated claims.

LEVEL OF SIGNIFICANCE:

The test is conducted at 5% level of significance ($\alpha = 0.05$).

TABLE 4.2.3: TABLE SHOWING THE CORRELATION BETWEEN EXPENSE CLAIMS ARE SUPPORTED BY VALID DOCUMENTS AND BILLS AND FAKE OR INFLATED CLAIMS ARE EASILY DETECTED

CORRELATIONS:			
Particulars		Expense claims are supported by valid documents and bills	Fake or inflated claims are easily detected
Expense claims are supported by valid documents and bills	Pearson Correlation	1	0.195*
	Sig. (2-tailed)		0.023
	N	136	136
Fake or inflated claims are easily detected	Pearson Correlation	0.195*	1
	Sig. (2-tailed)	0.023	
	N	136	136
*. Correlation is significant at the 0.05 level (2-tailed).			

INTERPRETATION:

The Pearson correlation value is 0.195, indicating a positive but weak relationship between supporting expense claims with valid documents and the detection of fake or inflated claims. The p-value is 0.023, which is less than 0.05, showing that the relationship is statistically significant. Therefore, the null hypothesis (H_0) is rejected and the alternative hypothesis (H_1) is accepted. This implies that proper documentation of expense claims has a significant influence on improving the detection of fraudulent or inflated claims, even though the strength of the relationship is relatively low.

INFERENCE:

To strengthen the monitoring of expense reimbursement fraud, management should ensure that all expense claims are supported by proper and verified documentation such as bills and receipts. Implementing strict verification procedures, regular audits, and digital tracking systems can further enhance transparency and accountability. Employee awareness and training on compliance requirements should be improved to minimize fraudulent practices. By reinforcing these measures, organizations can improve the detection of fake or inflated claims and enhance overall control effectiveness.

4.2.4 CORRELATION ANALYSIS:

AIM:

The aim is to study the detection of financial statement fraud.

NULL HYPOTHESIS (H_0):

There is no significant relationship between fraud detection systems identifying irregular financial activity and internal audit ensuring the reliability of financial reports.

ALTERNATIVE HYPOTHESIS (H_1):

There is a significant relationship between fraud detection systems identifying irregular financial activity and internal audit, ensuring the reliability of financial reports.

LEVEL OF SIGNIFICANCE:

The level of significance is fixed at 0.05 (5%).

TABLE 4.2.4: TABLE SHOWING THE CORRELATION BETWEEN FRAUD DETECTION SYSTEMS IDENTIFY IRREGULAR FINANCIAL ACTIVITY AND INTERNAL AUDIT ENSURES RELIABILITY OF FINANCIAL

CORRELATIONS:			
Particulars		Fraud detection systems identify irregular financial activity	Internal audit ensures reliability of financial reports
Fraud detection systems identify irregular financial activity.	Pearson Correlation	1	0.186*
	Sig. (2-tailed)		0.030
	N	136	136
Internal audit ensures reliability of financial reports.	Pearson Correlation	0.186*	1
	Sig. (2-tailed)	0.030	
	N	136	136
*. Correlation is significant at the 0.05 level (2-tailed).			

INTERPRETATION:

The Pearson correlation value is 0.186, indicating a positive but weak relationship between fraud detection systems identifying irregular financial activity and internal audit ensuring the reliability of financial reports. The p-value is 0.030, which is less than the 5% level of significance (0.05), showing that the relationship is statistically significant. Therefore, the null hypothesis (H_0) is rejected, and the alternative hypothesis (H_1) is accepted. This implies that effective fraud detection systems have a significant influence on supporting internal audits in ensuring the accuracy and reliability of financial reporting, although the strength of the relationship is relatively low.

INFERENCE:

To improve the detection of financial statement fraud, organizations should enhance the effectiveness of fraud detection systems by integrating advanced analytics and continuous monitoring tools. Strengthening the coordination between fraud detection mechanisms and internal audit functions can further improve the reliability of financial reports. Additionally, regular audits, timely identification of irregularities, and proper follow-up actions will help in reducing financial statement fraud and improving overall financial transparency.

4.2.5 ONE WAY ANOVA

AIM:

The aim is to evaluate the impact of bribery and corruption on fraud detection practices.

NULL HYPOTHESIS (H_0):

There is no significant difference in the mean values of fraud detection practices across different levels of training program awareness.

ALTERNATIVE HYPOTHESIS (H_1):

There is a significant difference in the mean values of fraud detection practices across different levels of training program awareness.

LEVEL OF SIGNIFICANCE:

The level of significance is fixed at 0.05 (5%).

TABLE 4.2.5: TABLE SHOWING THE ONE-WAY ANOVA, TRAINING PROGRAM IMPROVE AWARENESS OF POLICIES WITH MANAGEMENT TAKING ACTION AGAINST CORRUPTION-RELATED ACTIVITIES

ANOVA					
Management takes action against corruption-related activities					
	Sum of Squares	df	Mean Square	F	Sig.
Between Groups	12.981	4	3.245	3.060	0.019
Within Groups	138.953	131	1.061		
Total	151.934	135			

INTERPRETATION:

The ANOVA results show that the F-value is 3.060 with a significance value (p-value) of 0.019, which is less than the 5% level of significance (0.05). This indicates that there is a statistically

significant difference in the mean values of fraud detection practices across different levels of training program awareness. Therefore, the null hypothesis (H_0) is rejected and the alternative hypothesis (H_1) is accepted. This implies that training program awareness has a significant impact on how management takes action against corruption-related activities.

INFERENCE:

To enhance fraud detection practices, organizations should focus on improving the effectiveness and reach of training programs related to bribery and corruption. Increasing awareness through regular training sessions, workshops, and awareness campaigns can help employees better understand fraud risks and reporting mechanisms. Strengthening training initiatives will enable management to take more effective action against corruption and improve overall fraud detection performance.

4.2.6 SINGLE LINEAR REGRESSION:

AIM:

The aim is to analyze asset misappropriation and its control mechanisms.

NULL HYPOTHESIS (H_0): There is no significant impact of regular audit in identifying asset misuse on reducing the fraud risk of misappropriation.

ALTERNATIVE HYPOTHESIS (H_1): There is a significant impact of regular audit in identifying asset misuse on reducing fraud and the risk of misappropriation.

LEVEL OF SIGNIFICANCE:

The level of significance is fixed at 0.05 (5%).

TABLE 4.2.6: TABLE OF SHOWING SINGLE LINEAR REGRESSION BETWEEN REGULAR AUDIT HELPS IN IDENTIFYING ASSET MISUSE AND ASSET MANAGEMENT SYSTEMS REDUCE FRAUD RISK OF MISAPPROPRIATION.

Model Summary				
Model	R	R Square	Adjusted R-Square	Std. Error of the Estimate
1	0.169 ^a	0.029	0.021	1.03148
a. Predictors: (Constant), Regular audit helps in identifying asset misuse				

Anova						
Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	4.187	1	4.187	0.049 ^b	0.049 ^b
	Residual	142.571	134	1.064		
	Total	146.757	135			
a. Dependent Variable: Asset management system reduces the fraud risk of misappropriation						
b. Predictors: (Constant), Regular audit helps in identifying asset misuse						

Coefficients^a						
		Unstandardized Coefficients		Standardized Coefficients		
Model		B	Std. Error	Beta	t	Sig.
1	(Constant)	3.012	0.307		9.798	0.000
	A Regular audit helps in identifying asset misuse	0.168	0.085	0.169	1.984	0.049
a. Dependent Variable: The Asset management system reduces the fraud risk of misappropriation						

INTERPRETATION:

The regression analysis shows that regular audits have a positive impact on reducing the risk of asset misappropriation, with a beta value of 0.169. The p-value (0.049) is less than the 5% significance level, indicating that the relationship is statistically significant. Therefore, the null hypothesis (H_0) is rejected, and the alternative hypothesis (H_1) is accepted. However, the R-squared value of 0.029 indicates that regular audits explain only a small portion (2.9%) of the variation in reducing fraud risk, suggesting a weak explanatory power. This means that while regular audits contribute to fraud risk reduction, other factors also play a significant role.

INFERENCE:

To effectively reduce asset misappropriation, organizations should not rely solely on regular audits but also strengthen other control mechanisms such as asset tracking systems, internal controls, and employee accountability measures. Enhancing audit procedures, increasing audit frequency, and using technology-driven monitoring systems can improve effectiveness. Additionally, combining audits with strong management oversight and fraud prevention policies will lead to better control over asset misappropriation risks.

4.2.7 PAIRED SAMPLE T-TEST:

AIM:

To analyze the effectiveness of controls in identifying inventory fraud.

NULL HYPOTHESIS (H_0): There is no significant difference between inventory records being regularly updated and inventory discrepancies being quickly identified and resolved.

ALTERNATIVE HYPOTHESIS (H_1): There is a significant difference between inventory records being regularly updated and inventory discrepancies being quickly identified and resolved.

LEVEL OF SIGNIFICANCE:

The level of significance is fixed at 0.05 (5%).

TABLE 4.2.7: TABLE SHOWING PAIRED SAMPLE T-TEST BETWEEN INVENTORY RECORDS ARE REGULARLY UPDATED AND MONITORED AND INVENTORY DISCREPANCIES ARE QUICKLY IDENTIFIED AND RESOLVED

Paired Samples Test									
		Paired Differences					t	df	Sig. (2-tailed)
		Mean	Std. Deviation	Std. Error Mean	95% Confidence Interval of the Difference				
					Lower	Upper			
1	Inventory records are regularly updated and monitored - Inventory discrepancies are quickly identified and resolved	0.28676	1.53916	0.13198	0.02575	0.54778	2.173	135	0.032

INTERPRETATION:

The paired sample t-test shows that the calculated t-value is 2.173 with a p-value of 0.032, which is less than the 5% level of significance (0.05). This indicates that there is a statistically significant difference between inventory records being regularly updated and inventory discrepancies being quickly identified and resolved. Therefore, the null hypothesis (H_0) is rejected, and the alternative hypothesis (H_1) is accepted. The positive mean difference (0.28676) suggests that regular updating of inventory records contributes to quicker identification and resolution of discrepancies. However, the effect size (Cohen's $d = 0.186$) indicates a small effect.

INFERENCE:

To improve the identification of inventory fraud, organizations should ensure that inventory records are consistently updated and properly monitored. Implementing real-time inventory tracking systems, conducting frequent stock verification, and using automated tools can enhance accuracy and speed in detecting discrepancies. Although the effect is small, maintaining up-to-date records plays an important role in strengthening inventory control and reducing fraud risks.

CHAPTER-V

FINDINGS, SUGGESTIONS AND

CONCLUSION

5.1 FINDINGS

- The majority of respondents (41.9%) belong to the age group of 26–35 years, indicating that the study is mainly influenced by young adult employees.
- Most respondents are male (73.5%), showing that male employees constitute the major portion of the workforce participating in the study.
- A large proportion of respondents are graduates (42.6%), indicating that the employees are generally well-educated.
- Respondents from the Production department (22.8%) and Logistics department (22.1%) contributed the highest participation in the study.
- Nearly half of the respondents (49.3%) have 1–3 years of work experience, showing that the workforce is dominated by early-career employees.
- Most respondents agreed that the organization has strong controls over vendor selection, indicating effective procurement control practices.
- A majority of respondents stated that procurement processes are transparent and properly documented.
- Most employees agreed that proper verification is carried out before approving purchase orders.
- Respondents generally believe that employees follow ethical practices during procurement activities, though some respondents expressed uncertainty.
- Internal audits are considered effective in detecting procurement-related fraud by the majority of respondents.
- Most respondents agreed that inventory records are regularly updated and monitored, reflecting effective inventory management practices.
- Periodic physical stock verification is conducted in the organization according to most respondents.
- Respondents believe that proper controls exist to prevent theft or misuse of inventory.
- Most employees agreed that inventory discrepancies are quickly identified and resolved.
- Technology is considered helpful in reducing inventory fraud and improving inventory control systems.

- The majority of respondents agreed that the payroll system accurately processes employee salaries.
- Most respondents believe that controls are in place to prevent fake or ghost employees in the payroll system.
- Attendance and payroll data are properly verified according to the majority of respondents.
- Salary payments are properly authorized by responsible personnel in the organization.
- Most respondents agreed that expense claims are supported by proper bills and documents.
- Proper verification is generally carried out before reimbursement approval, although some respondents remain neutral.
- Respondents agreed that organizational policies clearly define eligible and non-eligible expenses.
- Most respondents believe that fake or inflated claims can be easily detected through existing controls.
- Employees showed moderate confidence in the accuracy and transparency of financial statements.
- Internal audits are viewed as effective in ensuring the reliability of financial reports.
- Respondents agreed that checks are available to prevent manipulation of financial data.
- Most employees believe that management follows proper accounting standards.
- Fraud detection systems are considered effective in identifying irregular financial activities.
- Respondents believe that organizational assets are properly recorded and tracked in the system.
- Controls to prevent unauthorized use of assets are considered effective by most respondents.
- Regular audits help in identifying asset misuse according to the majority of respondents.
- Employees are generally held accountable for the assets they handle.
- Asset management systems are believed to reduce the risk of asset misappropriation.
- Most respondents agreed that the organization has strict anti-corruption policies.
- Employees are generally aware of ethical guidelines and compliance rules followed by the organization.

- Respondents believe that safe systems exist for reporting unethical practices, though some uncertainty remains.
- Most employees believe that management takes action against corruption-related activities.
- Training programs are considered useful in improving awareness of organizational policies and fraud prevention measures.
- The Chi-square analysis revealed a significant relationship between employees' ethical practices and the effectiveness of internal audits in detecting procurement-related fraud.
- A significant relationship exists between salary authorization and controls preventing fake or ghost employees.
- Correlation analysis showed that proper documentation of expense claims significantly improves the detection of fake or inflated claims.
- Fraud detection systems significantly support internal audits in ensuring reliable financial reporting.
- ANOVA results indicated that awareness created through training programs significantly influences management actions against corruption-related activities.
- Regression analysis revealed that regular audits positively contribute to reducing the risk of asset misappropriation, although the effect is relatively weak.
- The paired sample t-test confirmed that regularly updated inventory records significantly help in quickly identifying and resolving inventory discrepancies.

5.2 SUGGESTIONS:

- The organization may encourage greater participation from female employees to ensure balanced representation in organizational activities and decision-making.
- Management may continue to provide skill development and career growth opportunities for young and early-career employees to improve employee performance and retention.
- Regular awareness programs and training sessions may be conducted to strengthen employees' understanding of ethical practices and fraud prevention measures.
- The organization may strengthen vendor selection procedures by implementing stricter verification and monitoring mechanisms.
- Procurement processes may be further improved by ensuring complete transparency and maintaining proper documentation for all purchasing activities.
- Management may enhance internal audit practices through frequent reviews and the use of technology-based auditing systems to improve fraud detection efficiency.
- Inventory records should be updated regularly through automated inventory management systems to minimize discrepancies and improve accuracy.
- Periodic physical stock verification may be conducted more effectively with the support of digital tracking and barcode systems.
- Stronger security controls and monitoring systems may be implemented to prevent theft or misuse of inventory items.
- Organizations may adopt advanced technologies such as real-time inventory tracking and automated alerts to quickly identify inventory discrepancies.
- Payroll systems may be regularly monitored and audited to ensure accurate salary processing and prevent payroll fraud.
- Proper authorization procedures and employee verification systems should be strengthened to avoid fake or ghost employees.

- Attendance records and payroll data may be integrated with biometric systems to improve verification accuracy.
- The organization should ensure that all expense claims are supported by valid documents and properly verified before reimbursement approval.
- Management may implement digital expense tracking systems to improve transparency and reduce the risk of fake or inflated claims.
- Financial statements should be prepared with greater transparency and accuracy to improve employee confidence in financial reporting.
- Internal audits may be conducted more frequently to strengthen the reliability of financial reports and prevent manipulation of financial data.
- Fraud detection systems may be upgraded with advanced analytics and continuous monitoring tools to improve the identification of irregular financial activities.
- Asset management systems should be strengthened through proper asset tracking, regular audits, and employee accountability measures.
- The organization may improve awareness regarding anti-corruption policies and ethical guidelines through continuous communication and training programs.
- Safe and confidential reporting mechanisms should be strengthened to encourage employees to report unethical practices without fear.
- Management may take strict and timely action against corruption-related activities to improve employee trust and organizational integrity.
- Regular fraud awareness and compliance training programs should be organized to improve employee understanding of fraud risks and prevention methods.
- The organization may combine regular audits with strong internal controls and technology-driven monitoring systems to reduce the risk of asset misappropriation.
- Real-time monitoring systems and automated inventory controls should be adopted to improve the quick identification and resolution of inventory discrepancies.

- Continuous evaluation and improvement of fraud detection practices may help the organization strengthen overall financial control and operational efficiency.
- Employee participation in fraud prevention initiatives may be encouraged to create a strong ethical culture within the organization.
- The organization should focus on improving communication between management, auditors, and employees to ensure better implementation of fraud control measures.
- Regular review of organizational policies and procedures may help identify weaknesses and improve fraud prevention effectiveness.
- Future studies may include a larger sample size and respondents from multiple organizations to obtain broader insights into financial fraud detection practices.

5.3 CONCLUSION:

The study on financial fraud detection practices at Kolon Industries India Private Limited, Tiruvallur, reveals that the organization has implemented various control mechanisms and fraud prevention practices across procurement, inventory management, payroll processing, financial reporting, asset management, and anti-corruption activities. The findings indicate that a majority of employees have a positive perception of the organization's fraud detection systems and internal control procedures. The study shows that procurement activities are generally transparent, vendor selection controls are effective, and internal audits play an important role in detecting procurement-related fraud. In inventory management, respondents agreed that inventory records are regularly updated, stock verification is conducted periodically, and proper controls exist to prevent theft or misuse of inventory. Similarly, payroll management practices such as salary authorization, attendance verification, and controls against fake or ghost employees are considered effective by most respondents. The analysis also highlights that expense reimbursement procedures, financial reporting systems, and asset management controls are functioning satisfactorily, though certain areas require further improvement. A moderate level of neutrality and disagreement among respondents indicates the need for stronger awareness programs, improved transparency, and more effective communication regarding fraud prevention practices. Statistical analyses such as Chi-square, Correlation, ANOVA, Regression, and Paired Sample t-test confirmed that ethical practices, internal audits, training programs, regular audits, and updated inventory records significantly influence the effectiveness of fraud detection and prevention systems within the organization. The organization has established a reasonably effective financial fraud detection framework. However, continuous improvement through advanced technology, employee training, stronger internal controls, regular audits, and enhanced monitoring systems is essential to further strengthen fraud prevention practices and ensure organizational transparency, accountability, and financial integrity.

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ANNEXURE

ANNEXURE-QUESTIONNAIRE

A STUDY ON FINANCIAL FRAUD DETECTION PRACTICE

1.Name(optional):

2. Age:

A) Above 18- 25 Years

B)26-35 years

C)36-45years

D)Above 45 years

3. Gender:

A) Male

B) Female

4. Education Qualification:

A) HSC

B) Diploma

C)UG Degree

D) PG Degree

E) Professional

5. Department?

A) Finance

B) Human Resource

C) Logistics

D) Production

E) Marketing

6. Work Experience in the organization

A) Less than 1 year

B) 1-3 years

C) 4-6 years

D) More than 7 years

PROCUREMENT FRAUD

7. The organization has strong controls over vendor selection.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

8. Procurement processes are transparent and well-documented.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

9. There is proper verification before approving purchase orders.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

10. Employees follow ethical practices during procurement activities.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

11. Internal audits effectively detect procurement-related fraud.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

INVENTORY FRAUD

12. Inventory records are regularly updated and monitored.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

13. Physical stock verification is conducted periodically.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

14. There are proper controls to prevent theft or misuse of inventory.

- A) Strongly Disagree

- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

15. Inventory discrepancies are quickly identified and resolved.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

16. Technology helps in reducing inventory fraud.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

PAYROLL FRAUD

17. The payroll system ensures accurate employee salary processing.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

18. There are controls to prevent fake or ghost employees.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree

E) Strongly Agree

19. Attendance and payroll data are properly verified.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

20. Salary payments are authorized by appropriate personnel.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

EXPENSE REIMBURSEMENT FRAUD

21. Expense claims are supported by valid document bills.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

22. Proper verification is done before reimbursement approval.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

23. Organization Policies clearly define eligible expenses.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

24. Fake or inflated claims are detected easily.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

FINANCIAL STATEMENT FRAUD

25. Financial statements are accurate and transparent.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

26. Internal audits ensure the reliability of reports

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

27. Controls prevent manipulation of financial data.

- A) Strongly Disagree

- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

28. Accounting standards are properly followed.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

29. Fraud detection systems identify irregularities.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

ASSET MISAPPROPRIATION

30. Assets are properly recorded and tracked.

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

31. Controls prevent unauthorized use of assets

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree

E) Strongly Agree

32. Regular audits identify asset misuse

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

33. Employees are accountable for assets.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

34. Asset management systems reduce fraud risk.

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

BRIBERY & CORRUPTION

35. The organization has strict anti- corruption policies

A) Strongly Disagree

B) Disagree

C) Neutral

D) Agree

E) Strongly Agree

36. Employees are aware of ethical guidelines

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

37. There is a system to report unethical practices

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

38. Management takes action against corruption

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

39. Training programs improve awareness of policies

- A) Strongly Disagree
- B) Disagree
- C) Neutral
- D) Agree
- E) Strongly Agree

40. Any suggestions to improve fraud detection practices?